Global Equity Strategy

Barclays Equity Factor Insights: March 2026

SIGNATURE

Potential stagflationary impulse from war in Iran warrants reassessment of equity factor outlook. In the US we turn Value positive, Growth neutral, stay positive Large vs Small and turn negative Momo. In Europe we turn Value neutral, keep Growth neutral, turn positive Quality and stay positive Size.

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The methodology behind US & EU factor basket construction can be viewed in Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 2 Apr 2025.

In the US, we turn positive on Value, supported by still-attractive valuations relative to Growth despite recent outperformance, and a more inflationary, geopolitically uncertain backdrop that favors commodity-linked exposures. **In Europe, we turn neutral on Value**, as potential energy-driven stagflation risks offset an otherwise supportive equity environment.

In the US, we turn neutral on Growth, with durable AI-led earnings increasingly balanced by sensitivity to firmer inflation expectations and reduced Fed cut optionality. **In Europe, we remain neutral on Growth**, with AI-related risks better priced but headline uncertainty constraining upside.

In the US, we remain positive on Large-over-Small, reflecting superior earnings resilience, balance sheet strength, and AI exposure among large caps. **In Europe, we stay positive on Size with a tactical small cap tilt**, viewing small caps as an upside lever should geopolitical tensions ease.

In the US, we turn negative on Momentum, as higher volatility, oil shock sensitivity, and rich valuations undermine trend persistence. **In Europe, we are neutral on Momentum**, as crowded positioning continues to unwind following geopolitical shocks.

In the US, we remain neutral on Quality, balancing defensive balance sheets against limited exposure to commodity beneficiaries. **In Europe, we turn positive on Quality**, as widening credit spreads and private credit concerns drive demand for low leverage, stable earners.

In the US, we remain negative on High-over-Low Volatility, as high beta equities typically underperform amid geopolitical stress and elevated energy prices. **In Europe, we are negative**

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on Low Volatility, preferring Size and Quality as more effective expressions in a binary, headline-driven market.

In the US, we remain negative on Yield, given its tilt toward financials, consumer exposure, and smaller caps in a stagflationary, supply-shock regime.

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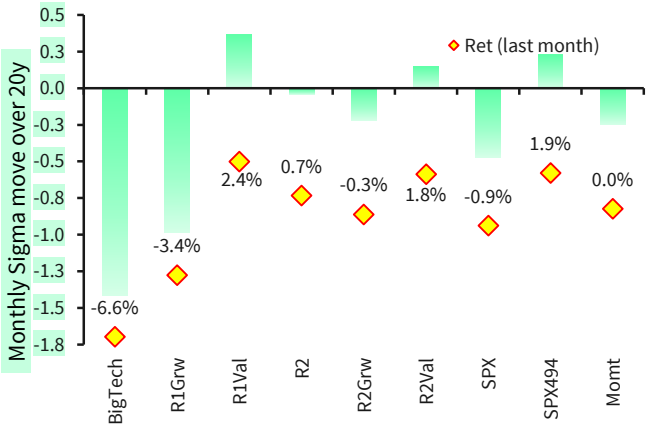
US factor analysis and views: March 2026

Equity market performance in Feburary 2026:

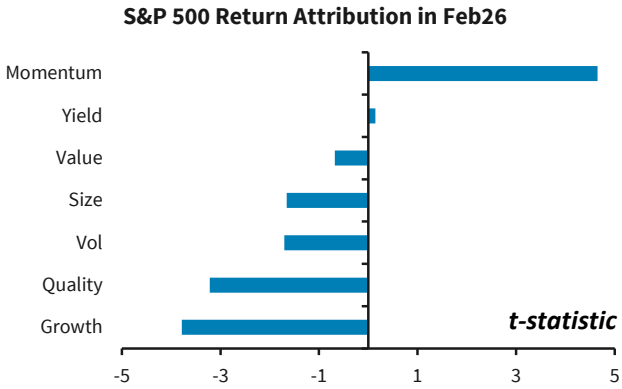
- February saw markets reassess AI's implications for software, with concern spilling into private credit as investor withdrawals hit firms such as Blue Owl. At the same time, geopolitical risk rose amid the buildup toward conflict involving Iran and the US-Israel coalition, adding to uncertainty.
- Despite elevated macro and thematic risk, headline performance was subdued. The S&P 500 fell 90bps over the month, while small caps rose 70bps, masking significant rotation beneath the surface.
- Dispersion remained elevated following its January rise, reflecting pronounced differentiation across sectors. Big Tech sold off more than 6%, while Energy rallied nearly 8%, signaling a rotation away from AI-linked exposures.
- Value outperformed Growth across market caps as investors rotated into "old economy" names. However, this shift appeared weakly grounded in fundamentals, suggesting positioning and sentiment were the dominant drivers.
- In 4Q25 earnings, Russell 1000 Growth delivered EPS growth of ~15.4% versus sales growth of ~5%, while Russell 1000 Value posted EPS growth of 3.6% against sales growth of 5.8%, highlighting the disconnect between fundamentals and February's style rotation.
- S&P 500 EPS for the next quarter has been modestly revised down YTD to $71. At the sector level, revisions have been most negative for Healthcare and Energy, while Technology and Real Estate continue to see upward revisions.

FIGURE 1. Value decisively outperformed Growth in February



Data as of 02/28/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 2. The performance of S&P 500 in February was almost entirely driven by Momo, while Growth detracted



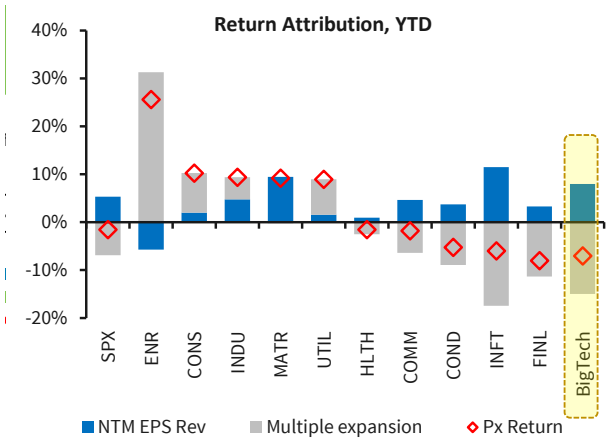
Data as of 02/28/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 3. In 4Q25 earnings season, large caps saw EPS growth exceed sales growth

25Q4	SPX	Mid	SML	BigTech	TechX	SPX w/o Tech	SPX494	R1 Value	R1 Growth
% reported	96%	91%	93%	100%	96%	96%	96%	92%	90%
EPS Surprise	6.0%	4.8%	-3.1%	5.4%	10.6%	5.5%	6.2%	3.0%	5.5%
LT Median	5.2%	5.9%	3.6%	7.2%	5.1%	4.9%	4.9%	5.7%	4.7%
EPS Beats	75%	74%	67%	86%	92%	72%	75%	72%	77%
LT Median	76%	69%	65%	86%	88%	75%	76%	71%	75%
y/y EPS Growth	11.7%	4.2%	2.3%	28.4%	22.3%	3.1%	5.8%	3.6%	15.4%
LT Median	6.3%	7.8%	8.3%	9.0%	8.7%	5.5%	5.8%	5.8%	5.0%
Sales Surprise	2.0%	1.7%	1.1%	2.1%	3.2%	1.9%	2.0%	2.0%	2.0%
Sales Beats	73%	69%	66%	100%	91%	69%	72%	70%	75%
y/y Sales Growth	7.3%	4.6%	2.6%	21.3%	13.4%	4.5%	4.7%	1.6%	16.1%
LT Median	4.1%	6.9%	11.9%	14.6%	2.6%	3.8%	3.8%	2.7%	5.4%
Net Margins	13.8%	8.0%	6.2%	28.4%	22.3%	10.3%	11.3%	10.4%	18.2%
y/y Margins	0.5%	0.0%	0.0%	1.6%	1.6%	-0.1%	0.1%	0.2%	-0.1%

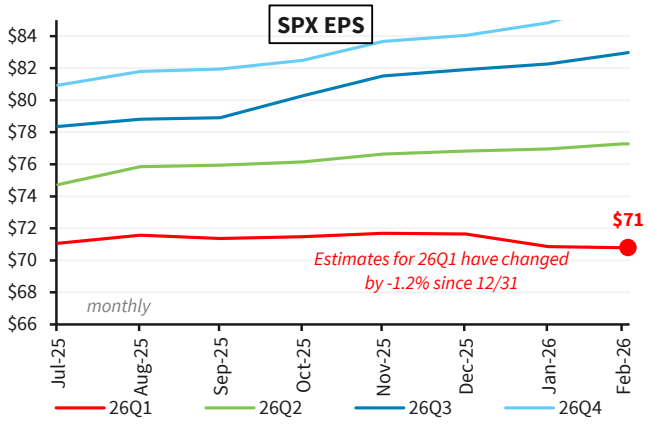
Data as of 02/28/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 4. Energy has seen multiples sharply expand as Middle East conflict has sent oil & gas surging



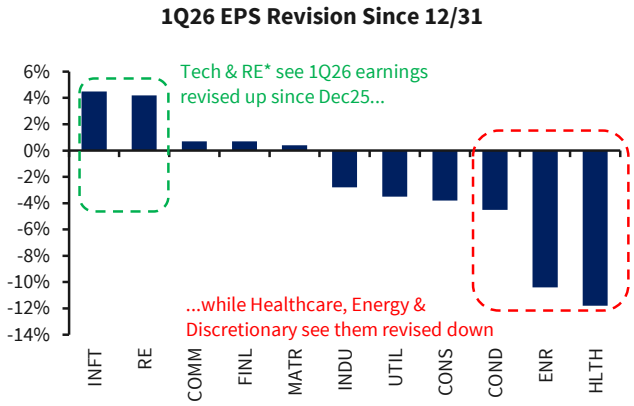
Data as of 03/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 5. Looking ahead, 1Q26 EPS has been modestly revised down to $71



Data as of 02/28/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 6. Among sectors, Tech and Real Estate* see upward revisions, while Healthcare & Energy see downward revisions



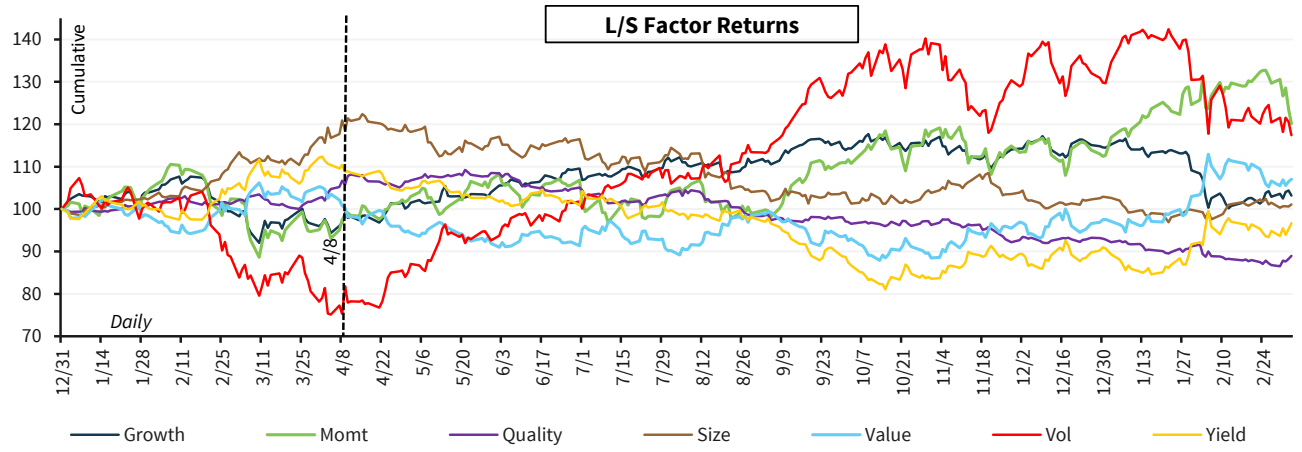
*For Real Estate, FFO is considered instead of net income. Data as of 02/28/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Basket Performance in the Past Month

Our **all-cap liquidity-weighted** US Factor baskets (see Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 4/2/2025) attempt to capture factor premiums while controlling for stock and sector weights.

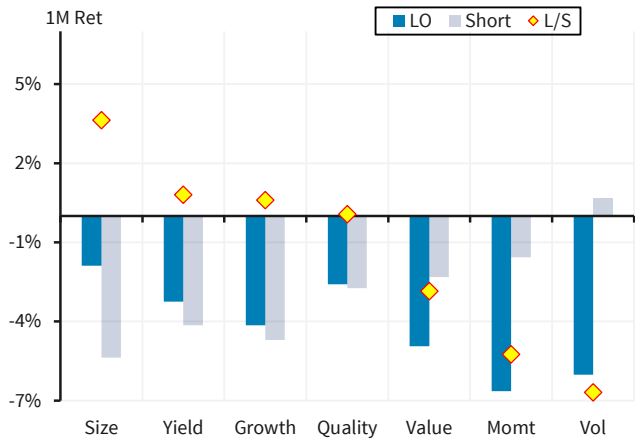
- Momentum faced a major rout in the past month, with most of the sell-off happening in the last few days of February and early March, with the US getting involved in a war with Iran.
- Volatility (High-over-Low) was the weakest factor, plunging 6.7% for the month. The drawdown reflected a 2% decline in the long leg alongside a 4.9% rally in the short leg, consistent with our shift to a negative stance last month as the factor became increasingly vulnerable to the prolonged risk-on environment.
- Value materially underperformed Growth, after peaking in early February. Much of Value long/short pair's decline was driven by sell-off in consumer stocks, as well as a rally in Industrials, to which the pair has a short exposure.
- Large-over-Small Size posted largest gains over the past month, following early-February weakness with a sharp recovery in subsequent weeks, including since the outbreak of war in Iran, broadly validating our recent constructive stance.

FIGURE 7. Momo has sold off after outperforming in recent weeks, while Volatility (High-over-Low) has stayed flat after selling off in January



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 03/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 8. Amid geopolitical turmoil, Size rallied most while Vol (High-v-Low) faced a rout



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Data as of 03/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 9. Momo's high correl with Vol has been recently moderated

2013 - 2019 LT corr.

12 Month

	GRW	MOM	QUAL	SIZE	VAL	VOL	YLD
GRW		0.51	0.08	0.01	-0.56	0.13	-0.57
MOM	0.21		0.39	0.35	-0.70	-0.36	-0.40
QUAL	0.37	0.47		0.57	-0.37	-0.55	0.23
SIZE	0.04	0.24	0.82		-0.29	-0.79	0.33
VAL	-0.84	-0.45	-0.76	-0.52		0.21	0.65
VOL	0.80	0.39	0.00	-0.38	-0.52		-0.33
YLD	-0.84	-0.37	-0.25	0.07	0.75	-0.84	

Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility.
Data as of 03/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Special Topic: Factor Reactions to Oil Spikes

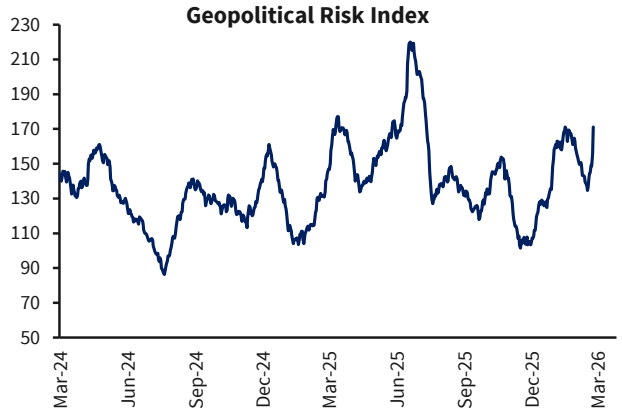
Global geopolitical risk has sharply risen in recent days, as escalation of hostilities between Iran and the U.S.–Israel coalition has triggered a sharp rise in oil and gas prices, reflecting acute concerns around supply disruptions through the Strait of Hormuz, a critical chokepoint that accounts for roughly one-fifth of global crude flows. Tanker traffic through the strait has fallen by more than 96% over the past two weeks, effectively bringing seaborne transit to a standstill. Historically, oil price shocks of this magnitude have coincided with pronounced increases in equity factor dispersion – a relationship that has exhibited notable consistency across market cycles.

This dynamic was especially evident during the early stages of Russia's invasion of Ukraine in 2022, when cross-factor return dispersion reached historically elevated levels. Such episodes represent major exogenous shocks that materially reshape the investment landscape, warranting closer examination of factor behavior in the aftermath. Against this backdrop, the post-invasion performance of equity styles offers useful insight into how markets reprice risk, growth, and defensiveness under conditions of acute geopolitical stress.

In the period following the outbreak of the war, Value emerged as the clear winner, supported by a rotation into cheaper, commodity-linked sectors poised to benefit from surging energy prices. Growth, by contrast, lagged meaningfully, delivering flat returns over the subsequent quarter as macro uncertainty weighed on long-duration assets. Momentum also performed well, ranking just behind Value, though its path was less linear: in the initial month following the shock, momentum faltered as the abrupt oil price spike disrupted prevailing trends, before reasserting itself as new leadership emerged.

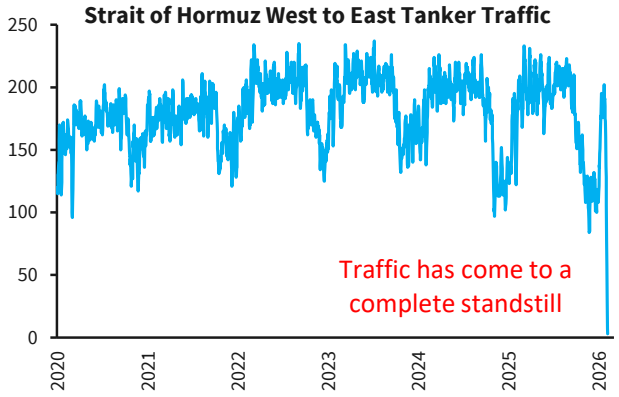
Other defensive styles also found favor. Yield and Size (Large over Small) both generated positive returns in the post-outbreak quarter, reflecting investor preference for balance-sheet resilience, cash flows, and scale amid heightened uncertainty. Counterintuitively, Quality ended the period modestly negative, despite characteristics – such as strong balance sheets and earnings stability – that would typically be expected to confer defensive appeal during macro turmoil. The most significant underperformer by a wide margin was Volatility (high-over-low), as investors decisively rotated away from speculative, high-beta stocks toward more stable segments of the equity market.

FIGURE 10. Geopolitical risk has spiked in recent days



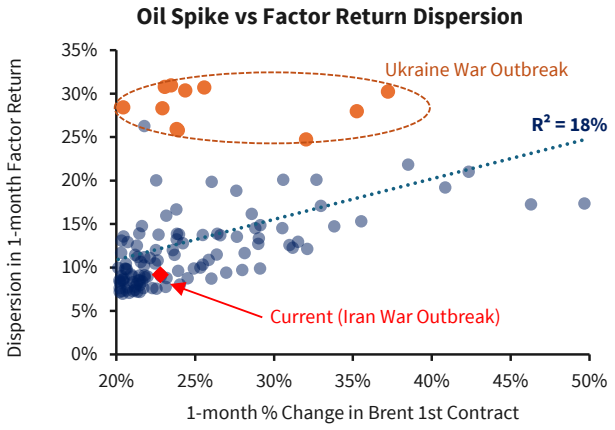
Index is called Caldara & Iacoviello Geopolitical Risk Index (30-day moving average)
Source: Bloomberg, Barclays Research

FIGURE 11. Outbound tanker traffic through the Strait of Hormuz has come to a standstill



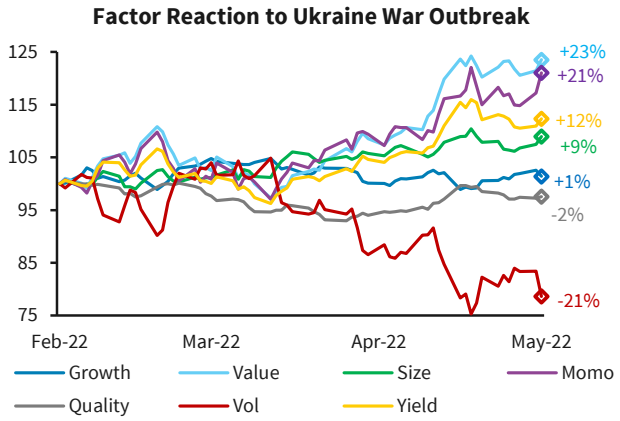
Traffic is measured here as a 7-day moving average
Source: Bloomberg, Barclays Research

FIGURE 12. During oil spikes, factor dispersion tends to rise with severity of the oil price rise



Return dispersion is calculated as cross-sectional standard deviation across factors.
Data as of 03/06/2026.
Source: Bloomberg, Barclays Research

FIGURE 13. Value was the strongest performer in the quarter following Ukraine War outbreak



Assuming outbreak of hostilities to be on 24-Feb-22.

Source: Bloomberg, Barclays Research

US Factor Discussion & Recommendations

We mainly use three criteria to formulate our factor views – relative fundamentals of our factor baskets vs. their own history, current macro events along with past event studies, and our market outlook ahead.

FIGURE 14. Current US Factor Recommendations - March 2026

Factor	Description	View	Rationale
Growth	High - low	▼ *neutral*	Increasingly inflationary and geopolitically uncertain macro backdrop makes the style's long-duration characteristics less attractive near term. While AI capex and tech earnings momentum remain intact, rising inflation expectations and reduced Fed-cut optionality warrant caution.
Size	Large over Small	**Positive**	Large caps continue to exhibit superior earnings momentum, stronger balance sheets, and structural exposure to secular AI growth. In contrast, small caps face weaker near-term earnings revisions, higher leverage, greater financing sensitivity, and added pressure from oil-driven inflation, which outweighs their valuation appeal in the near term.
Momentum	High vol - low vol	▼ **Negative**	Momentum has fallen more than 9% from its peak as rising geopolitical tensions and higher implied volatility have disrupted trend persistence. While forward margin expansion remains strong, Momentum now screens as the most expensive style relative to its own history, raising crowding risks. With Momentum on average underperforming after sharp oil price spikes, the balance of risks is skewed to the downside.
Quality	High - low	*neutral*	Quality recently saw a modest rebound amid rising geopolitical tensions. However, its underweight to commodity-oriented sectors leaves it poorly positioned in an environment dominated by commodity shocks, limiting the case to turn positive. Balance-sheet strength and earnings resilience argue against turning negative, preserving its appeal as a potential safe haven should higher oil prices begin to weigh on growth.
Value	Cheap - expensive	▲ **Positive**	Value's positive outlook is supported by still-wide valuation discounts versus Growth and a macro regime that increasingly favors cheaper, commodity-oriented sectors. Heightened supply-shock risks from the Iran conflict, firmer inflation expectations, and historical precedent from the Ukraine war episode tilt near-term risk-reward toward Value, particularly via commodity-linked exposures.
Volatility	High vol - low vol	**Negative**	Vol has retraced more than 17% from its late-January peak as investors rotate away from speculative stocks amid rising geopolitical risk and oil-supply concerns. Historically, similar environments have seen Vol underperform as risk appetite deteriorates. With the factor still screening expensive relative to history, we stick to our negative stance.
Yield	High - low	**Negative**	Despite its defensive label, Yield is tilted toward financials and consumer stocks while being underweight commodity-linked names that benefit from inflationary supply shocks. Rising inflation expectations and the risk of demand destruction threaten credit quality, particularly given Yield's small-cap bias and the consumer margin pressure from higher input costs. These create headwinds in a stagflationary environment.

View as of 03/09/2026. Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Turn Neutral on Growth and Positive on Value – Our factor stance is now tilted in favor of Value and Neutral on Growth for the following reasons:

- Over the past year, Value has functioned as a reliable tactical hedge during episodes of AI-related equity market stress. This reflects its exposure to cheaper, 'old economy' cyclicals that have remained under-owned amid the prolonged AI capex-driven rally. Most recently, Value outperformed in early February, when investor concerns surfaced around the downstream implications of AI disruption for software and, by extension, private credit markets that have financed the sector's expansion. As those concerns faded and broader equity sentiment stabilized, Value subsequently retraced its gains. Since the most recent exogenous shock – namely, the outbreak of hostilities involving Iran and the US–Israel coalition – Value's price response has been comparatively muted. That said, commodity-linked segments of the equity market, particularly Energy and Materials, stand to benefit from heightened supply shock risks, providing some incremental support to the style.

- From a valuation perspective, while the gap between Growth and Value has narrowed somewhat following Value's strong performance since late 2025, it still remains wide relative to long-term history.

- In terms of macro signals, consumer sentiment has improved since late 2025, and both short- and medium-term inflation expectations have accelerated since the commencement of the

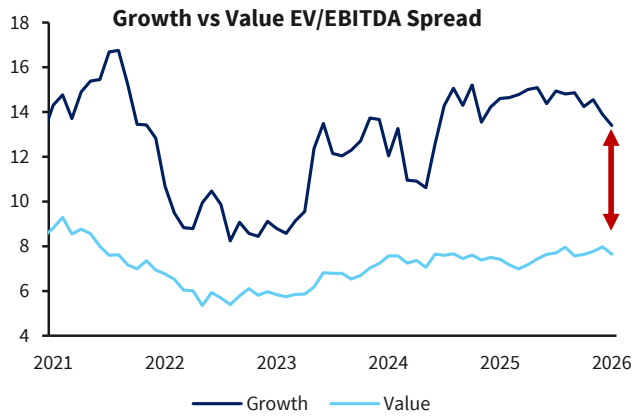
war in Iran, with markets pulling back on Fed cut estimates – developments that are typically supportive of Value over Growth.

- To be clear, Growth's structural advantages remain intact. Technology continues to dominate aggregate earnings growth, and the AI capex cycle shows little sign of abating. Hence, there is little reason to be outright negative on this style. However, the exogenous macro environment is becoming incrementally unfavorable. Against this backdrop, we find it prudent to turn neutral on Growth for now.

- Finally, as shown above, Value's outperformance in the Ukraine war episode of 2022, which is the closest parallel to the current geopolitical crisis in its scale and implications for energy, gives us further confidence in its potential to gain in the coming weeks in case the Iran conflict persists and metastasizes.

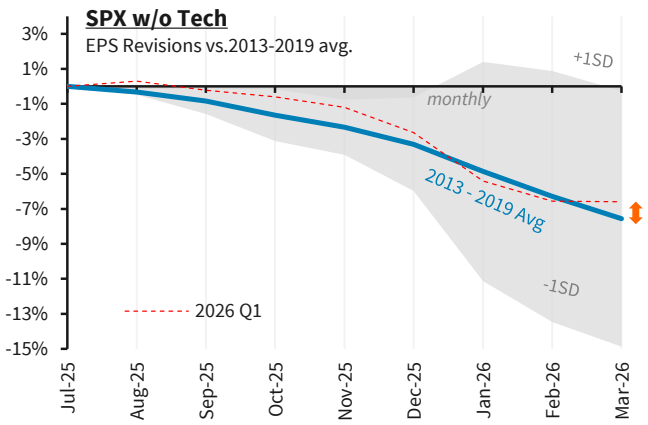
In conclusion, we are turning positive on Value and neutral on Growth as narrowing but still-attractive valuation differentials, a more inflationary and uncertain geopolitical/macro backdrop due to the Iran war, and historical precedent from the Ukraine war of 2022 tilt near-term risk-reward toward Value, while Growth's long-duration characteristic warrant caution rather than outright pessimism.

FIGURE 15. The gap in valuation between Growth and Value remains wide despite Growth's recent pullback



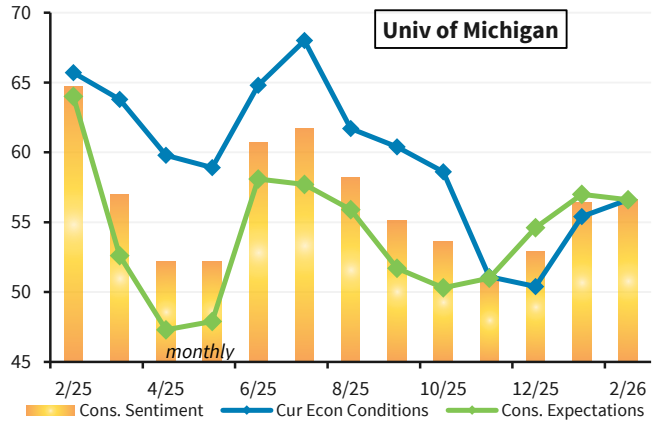
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 16. S&P 500 outside of Tech has seen 1Q26 EPS revisions in line with pre-pandemic trends



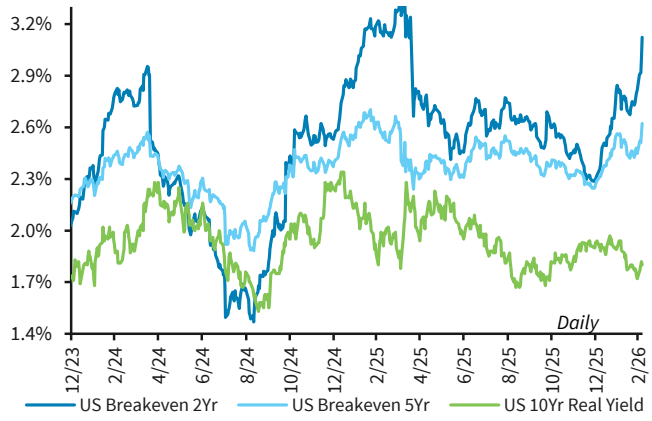
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 17. Consumer sentiment has recently been picking up



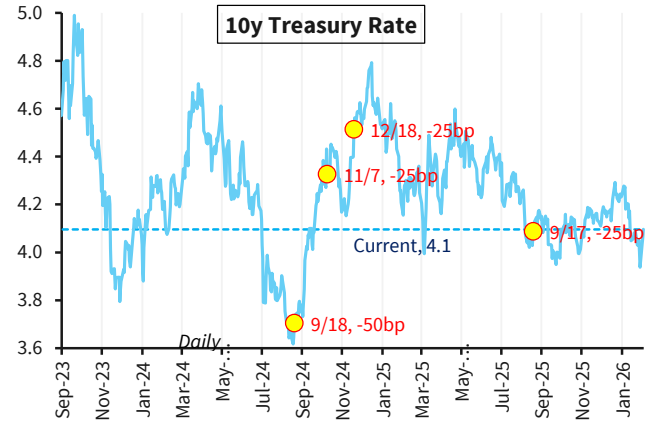
Data as of 02/28/2026
Source: Bloomberg

FIGURE 18. Inflation expectations have markedly risen in response to the war in Iran



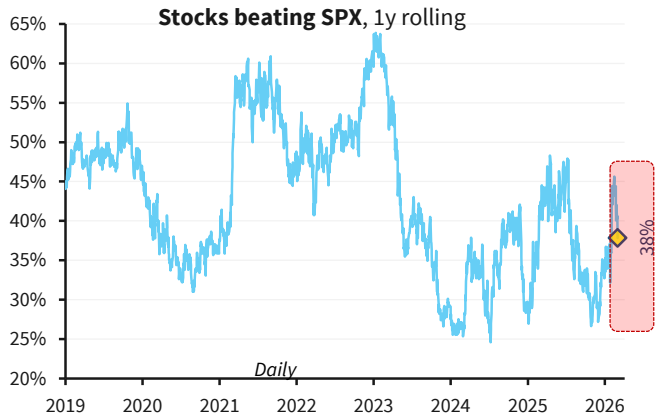
Data includes previous revisions, if any. Data as of 03/06/2026
Source: Bloomberg

FIGURE 19. 10-year rates have been hovering just above 4%



Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 20. The market briefly broadened to near 1-year high, before narrowing again



Data as of 03/04/2026
Source: Bloomberg, Barclays Research

We stay Positive on Large-over-Small for the following reasons:

From an earnings standpoint, small caps have experienced materially sharper downward revisions year-to-date, particularly for 1Q26, compared with large caps across both Technology and non-Technology sectors. Revisions for subsequent quarters of 2026 have also been underwhelming relative to large caps. While consensus expectations point to a meaningful acceleration in small-cap EPS growth in the back half of 2026, the near-term outlook remains one of modest earnings growth, limiting the case for a sustained re-rating in the first half of the year.

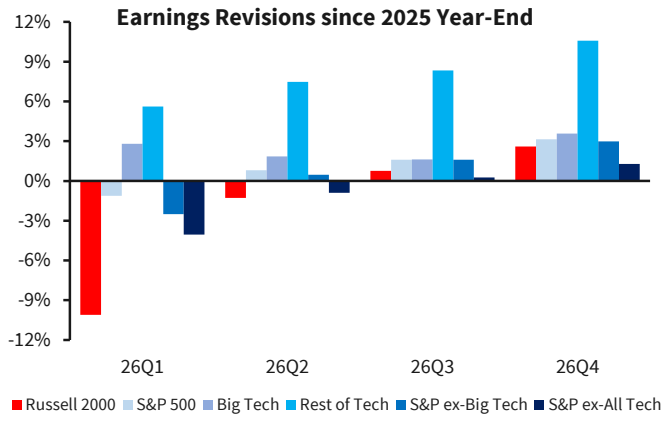
These challenges are compounded by structural headwinds. Small caps continue to carry historically high leverage and a meaningfully larger share of companies with negative earnings, leaving them more vulnerable to adverse financing conditions. Elevated inflation expectations from oil supply shocks further complicate the picture, as they reduce the likelihood of near-term rate cuts and exacerbate balance-sheet pressures for more debt-dependent firms.

There are, however, offsetting positives. Small-cap valuations appear inexpensive relative to large caps, and excluding Financials, they are below their 10-year median when compared to S&P 490.

That said, the fundamental asymmetry between large and small caps remains pronounced. Big Tech – representing the largest constituents of the large-cap universe – continues to deliver robust earnings growth, strong balance sheets, and dominant positioning within secular AI investment trends. In contrast, small caps lack a comparable structural growth engine and remain more exposed to macro and financing risks.

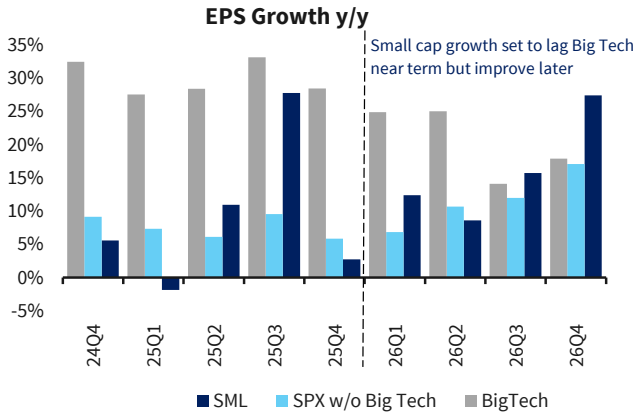
Taken together, while valuation and technical considerations warrant monitoring, we continue to prefer large caps over small caps and therefore maintain a positive stance on the Size factor.

FIGURE 21. Small cap earnings revisions are nearly the worst compared to large caps for the next few quarters



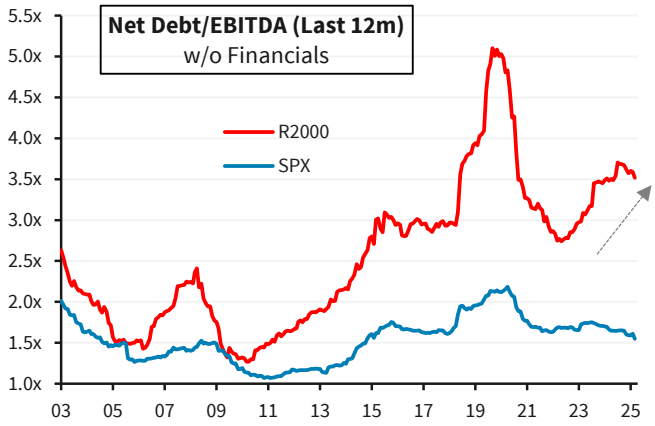
Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 22. Compared to Big Tech, the next two quarters are set to see unremarkable earnings growth



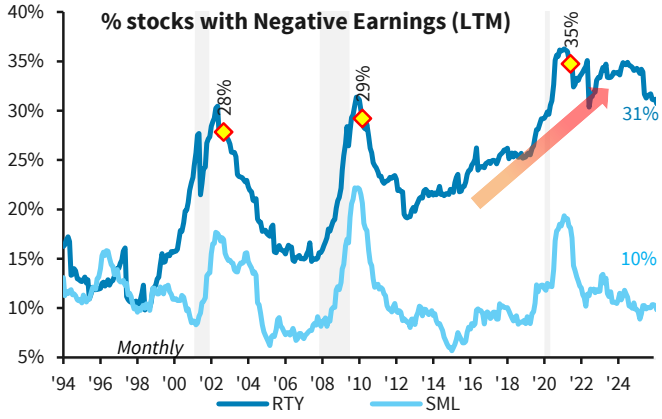
Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 23. Small caps remain more levered than Large caps ...



Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 24. ... but the share of unprofitable names is declining from recent highs



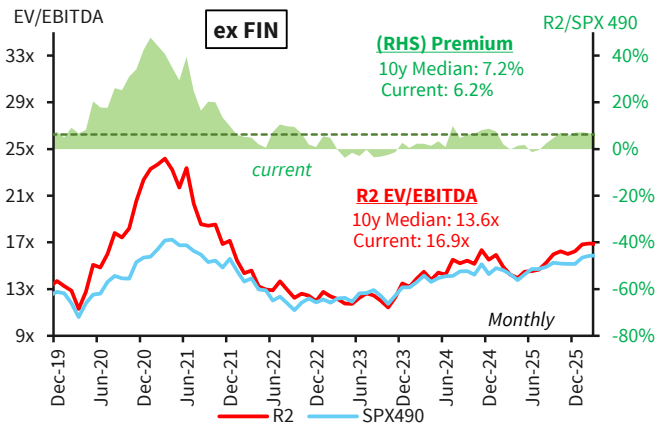
Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 25. Small cap valuation is relatively cheap

NTM P/E	US Equities		
	Current	10y Pctle	vs. SPX
Small	16.6x	0.33	0.30
Mid	17.6x	0.54	0.43
Large	21.5x	0.69	
Communications Services	20.5x	0.80	0.71
Consumer Discretionary	28.6x	0.72	0.65
Consumer Staples	23.3x	0.99	0.61
Financials	14.9x	0.64	0.21
Health Care	18.9x	0.93	0.43
Industrials	26.4x	0.92	0.98
Information Technology	23.4x	0.50	0.29
Materials	20.9x	0.82	0.60
Utilities	19.9x	0.83	0.43

Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 26. Valuations of small cap ex-Fin are modestly below the long-term median



Data as of 03/04/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Turn **negative on Momentum** for the following reasons:

We recently downgraded Momentum to neutral, and subsequent market developments have pointed to further degradation in its outlook. After an extended rally over the past several months, the style faltered and is now down more than 9% from its peak. A significant portion of this drawdown has occurred since the outbreak of hostilities in the Middle East, as concerns around a potential spike in energy prices have unsettled markets.

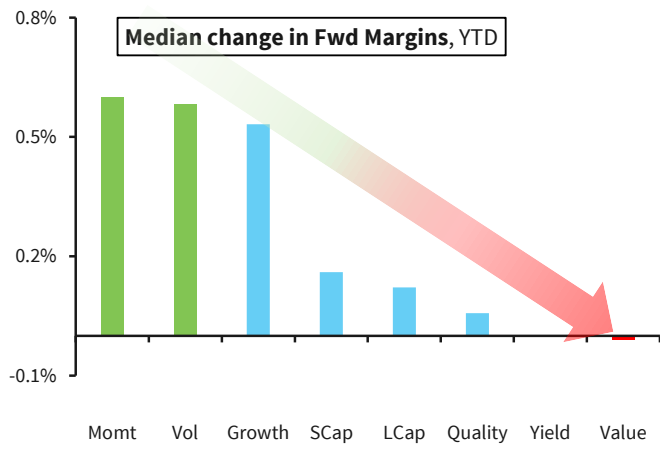
The resulting increase in uncertainty has been accompanied by a sharp rise in implied volatility across both equities and rates. Elevated volatility tends to disrupt trend persistence, creating an unfavorable backdrop for Momentum strategies that rely on stable and well-defined price trends. In this respect, the recent market environment has been a clear headwind for the factor.

From a fundamental perspective, Momentum continues to exhibit notable strengths. Forward margin expansion for Momentum remains the strongest among equity styles, although Growth is now a close second. However, there are indications of positioning being crowded, as for instance Momentum screens as the most expensive style relative to its own history.

Looking ahead, risks remain skewed to the downside. A further escalation and broader metastasis of the Middle East conflict – particularly if it triggers a more pronounced equity market sell-off – would likely undermine trend-following strategies and could warrant a more decisively pessimistic stance on Momentum. Indeed, in the month following dramatic weekly spikes in oil prices, Momentum has on average sold off.

Taken together, the combination of vulnerability to oil price shocks, elevated volatility, and rich valuations provides sufficient justification to turn negative on the Momentum factor.

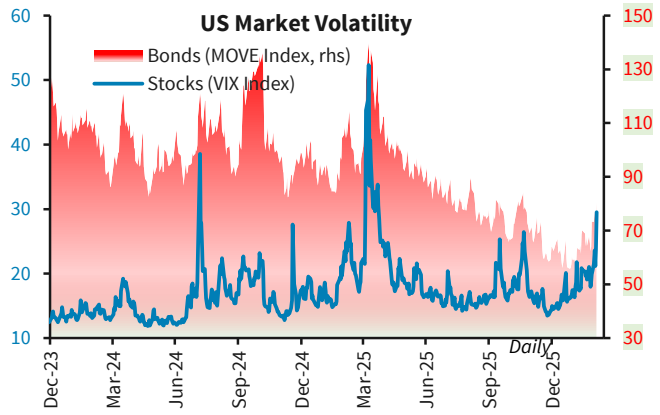
FIGURE 27. Momentum has seen the highest increase in forward margins among styles



Data as of 02/28/2026

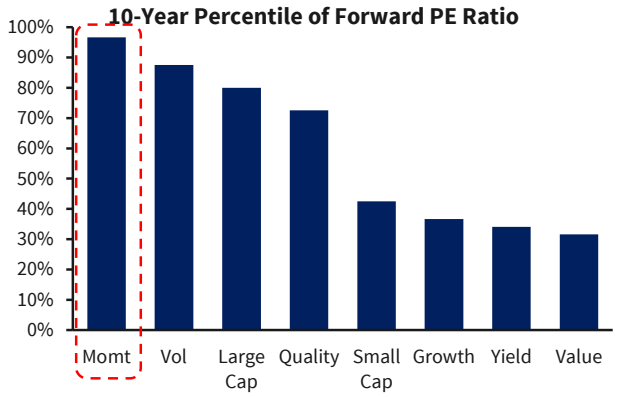
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 28. Volatility in equities and rates has started climbing, posing a headwind to Momentum



Breadth is calculated as the percentage of constituents within a style that has had a return higher than the style itself. Data as of 03/06/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

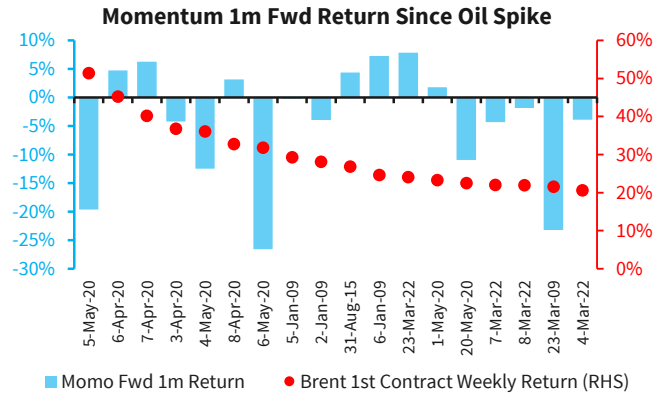
FIGURE 29. Momentum's valuation is the richest among styles



Data as of 03/05/2026

Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 30. Momentum has on average sold off in the month following oil price spikes



Episodes of weekly return in Brent crude 1st contract > 20% are considered. Data as of 03/04/2026. Past performance is not necessarily indicative of future results.
Source: Bloomberg, Barclays Research

Stay Neutral on Quality – We maintain our Neutral view on Quality for the following reasons:

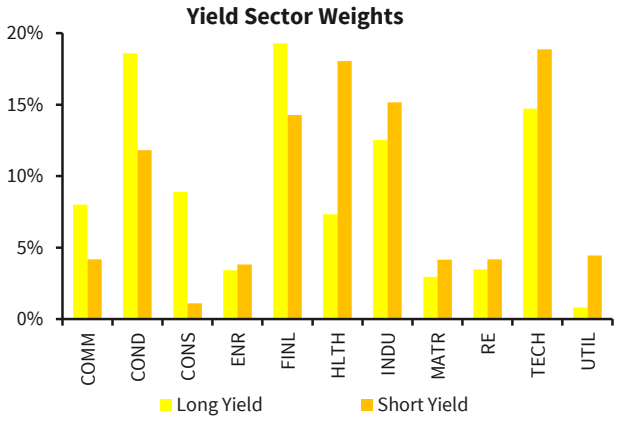
We remain neutral on Quality. The factor has faced a prolonged period of underperformance, as its defensive characteristics have been out of favor amid a persistently risk-on market environment. More recently, rising geopolitical tensions appear to have revived some demand for defensiveness, with Quality up 2.5% month-to-date. That said, the style's structural underweight to commodity-oriented sectors such as Energy and Materials leaves it poorly positioned in an environment dominated by supply-driven commodity shocks. As a result, we see insufficient justification to turn positive at this stage. At the same time, we refrain from turning negative, as Quality's balance-sheet strength and earnings resilience retain potential safe-haven appeal should elevated oil prices begin to weigh on growth and give rise to demand destruction.

Stay negative on High-over-Low Volatility – We maintain our negative view on Volatility for the following reasons:

The factor has experienced a sharp reversal in recent weeks, declining more than 17% from its late-January peak as investors rotated away from Tech and adjacent segments of the equity market. With the conflict in Iran and associated oil supply shocks now emerging as the dominant macro risk, Volatility appears particularly exposed. As discussed earlier, it was the worst-performing style in the quarter following the outbreak of the Ukraine war – the closest historical analogue to the current geopolitical environment – highlighting investors' tendency to retreat from high-beta, speculative equities during periods of acute uncertainty. We expect a similar dynamic to prevail should the current conflict in the Middle East persist. Compounding these headwinds, the factor continues to screen as expensive, with forward P/E multiples above the 80th percentile relative to the past decade. Taken together, these considerations reinforce our negative view on Volatility.

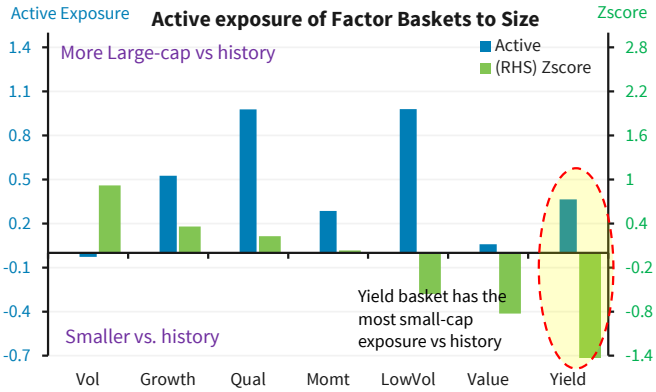
Stay Negative on yield (Dividends + Buybacks) – We expect Yield to underperform should the oil supply shock persist, despite its defensive characteristic. Structurally, the factor is tilted toward high-yielding financials and consumer-oriented exposures, while being tilted away from commodity-linked sectors that typically benefit from inflationary supply shocks. As inflation expectations rise and the risk of demand destruction increases, credit quality is likely to deteriorate, particularly at a time when private credit markets are already vulnerable due to elevated exposure to software. The consumer tilt further compounds these risks, as rising input costs compress margins while weakening end demand limits pricing power. In addition, the Yield factor carries a small-cap bias, where balance sheets tend to be weaker and pricing power more constrained. Taken together, these characteristics create meaningful headwinds in a stagflationary environment, reinforcing our negative stance on the factor.

FIGURE 31. Yield is tilted towards financials and consumer-oriented sectors and away from commodity-linked ones



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 32. Yield's small cap bias is historically high



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

Europe factor analysis and views: March 2026

Please register here to join our conference call on the EU factors update on Tuesday, 10 March.

Please note: our updated baskets constituents are available here – Barclays Equity Factor Monitor, 3 Mar.

Key insights

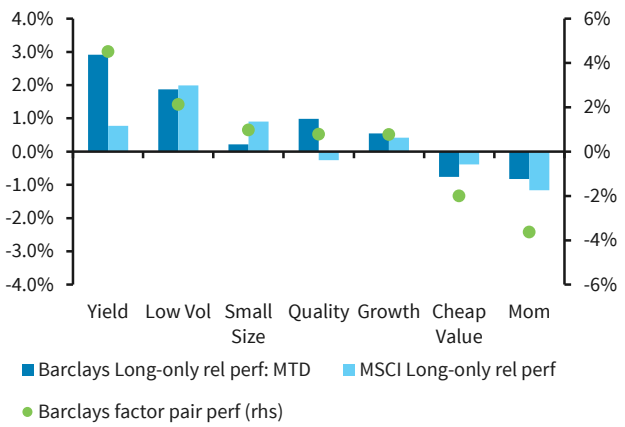
- **US-Iran tensions add pressure to Momo unwind.** EU Momo down 6% from the highs, but pair remains up +8% YTD and remains crowded. Historically, it tends to lag for several months after geopolitical shocks, leaving room for further unwind. Yield stands to benefit – the pair has led since the conflict began and typically tracks oil spikes closely.
- **Private credit jitters are building, think Quality.** HY spreads keep grinding wider, and investors are rotating into Quality as a hedge, favouring low-debt, stable-revenue names that have historically outperformed when credit stress rises. AI disruption fears are not gone, but much more priced in – we move to OW.
- **Value at risk if stagflation concerns linger.** Macro backdrop remains broadly supportive for equities, but an energy shock is a clear risk to the growth-inflation mix if sustained. We cut to MW as a hedge.
- **Stay OW Size and UW Low vol as residual upside hedge.** Tactical outlook feels binary amid high headline risk. We stay constructive on Small Caps as an upside lever, helpful if the market squeezes higher on any easing in tensions.
- **Factors allocation.** Positive on Quality, Size; Neutral Value, Growth, Momentum; and Negative Low Vol.

European Factor performance review

Yield up, momentum fade

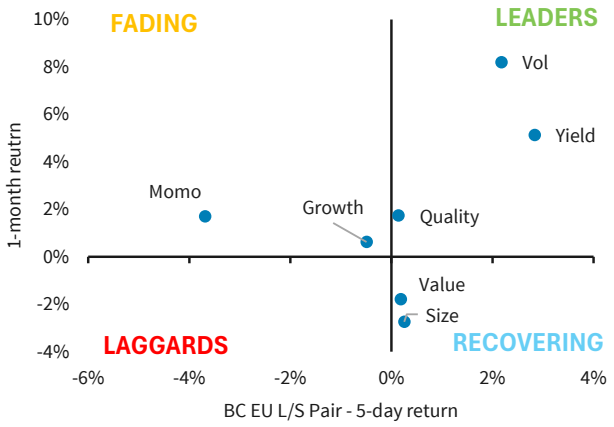
Mtd Yield has taken clear leadership in factor space, with Low Vol and Small Size also printing solid gains across both Barclays and MSCI universes. Quality and Growth hover slightly positive, while Value and Momentum have slipped into negative territory. MSCI tells a similar story, bar a small divergence in Quality. On the quadrant map, Yield and Low Vol screen as leaders, supported by strong 1-month momentum and improving short-term breadth. Value and Size are edging into recovery after a weak spell, while Momentum and Growth continue to fade.

FIGURE 33. Yield and Low Vol are leading while Momentum lags ...



Note: Past performance is not necessarily indicative of future results.
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

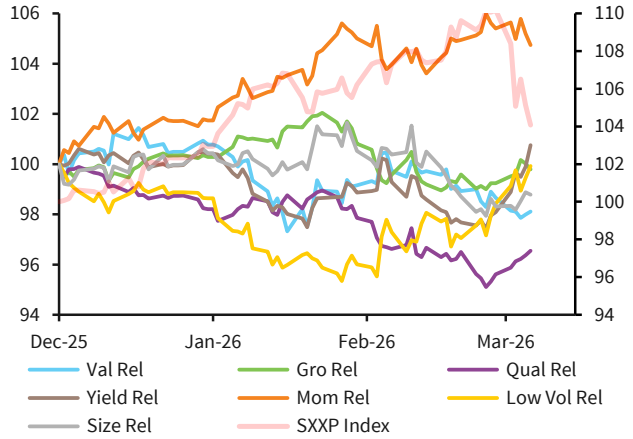
FIGURE 34. ... as it has been fading over the past days



Vol = Long Low Vol/Short High Vol; Size = Long Small Caps/Short Large Caps
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

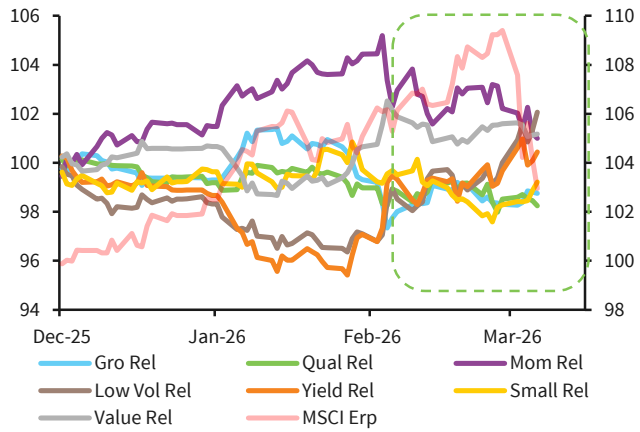
In Europe, over the last three months Barclays factors performance has been notably mixed. Mom stood out with strong gains, while Yield registered only modest upside. Growth and Low Volatility were broadly unchanged and Small Caps, Value, and Quality lagged with negative returns. The MSCI factors offer a slightly different profile: Low Volatility and Value led with solid gains, along with healthy performance in Mom and Yield. In contrast, Small Caps, Growth, and Quality underperformed on a relative basis.

FIGURE 35. Over the last three months, factor performance was led by Mom, as Quality struggled...



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 36. ...among MSCI factors, Low Vol and Value lead the pack, as Quality was a relative laggard



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

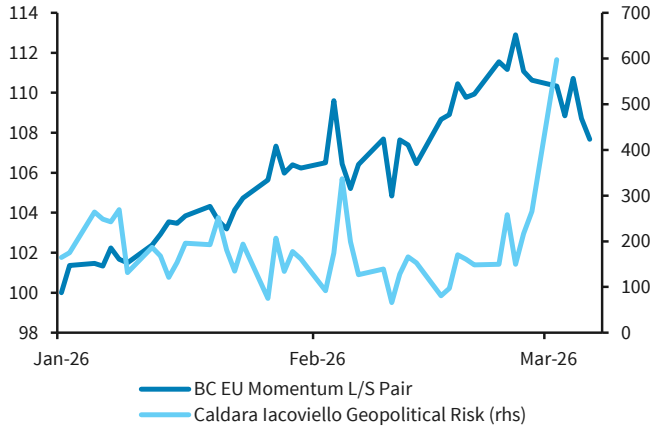
European Factor Themes

As we wrote in our March monthly chart pack, we see three themes driving the market (From greed to fear, 4 Mar).

1) US-Iran war factor playbook

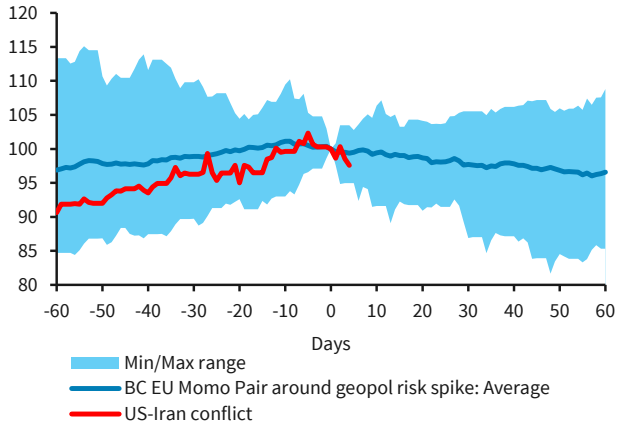
Momentum remains vulnerable. US-Iran conflict adds another headwind to a factor already under pressure from extreme AI-driven dispersion (EMR). Even after the recent reversal, the EU momo pair is down 6% from the highs but still up +8% YTD, signaling we haven't seen full capitulation and leaving scope for a further unwind. Historically, spikes in geopolitical tensions have typically extended momentum unwinds over the following three months.

FIGURE 37. US-Iran conflict brings another headwind for the EU momo trade



Source: Bloomberg, LSEG Data & Analytics, Barclays Research

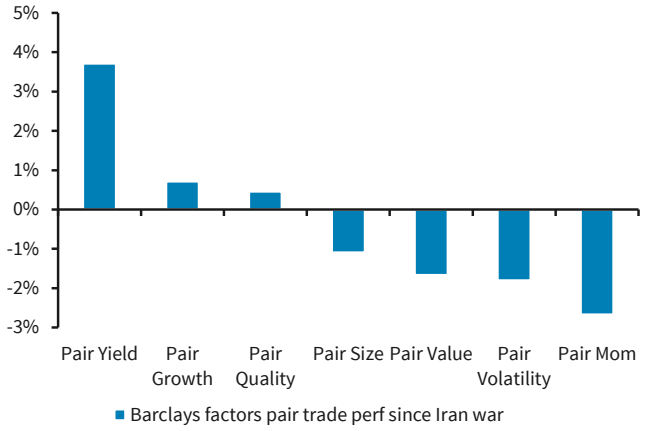
FIGURE 38. Historically, geopolitical risk rising has not been supportive for momentum pair



Geopolitical Risk spikes are 99th percentile level and 1-day change of Caldara Iacoviello Risk since Jan 2001
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

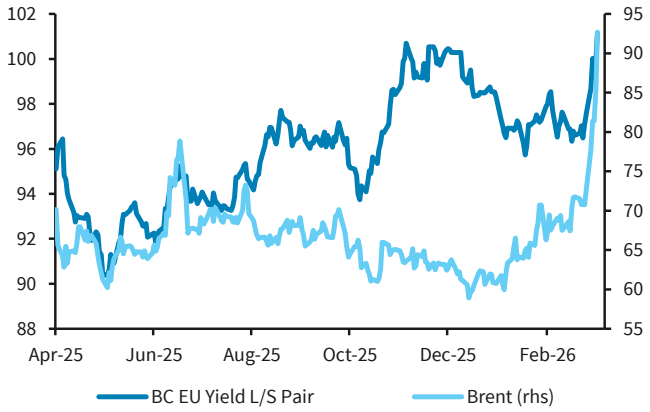
Yield pair is the cleanest factor proxy for oil. High Yield has been the strongest performer since the conflict began, even beating Low Vol – signalling that markets see the oil spike as a bigger risk than a growth scare so far. The yield pair also tracked oil closely during the 12-day war in June, reinforcing its sensitivity to energy shocks.

FIGURE 39. Yield has been the best performing pair among EU factors since the US-Iran conflict started



Pair Volatility = Long High Vol/Short Low Vol, Pair Size = Long Large Caps/Short Small Caps
Source: Bloomberg, Barclays Research

FIGURE 40. High yield names outperformed also during the June 12-day war between Israel and Iran

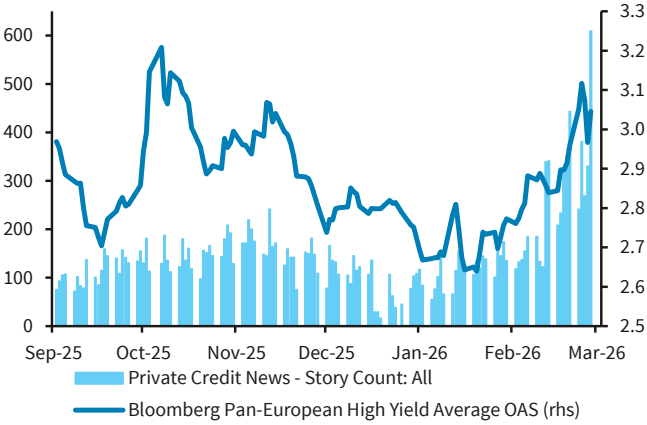


Source: Bloomberg, LSEG Data & Analytics, Barclays Research

2) Private Credit stress, look for Quality

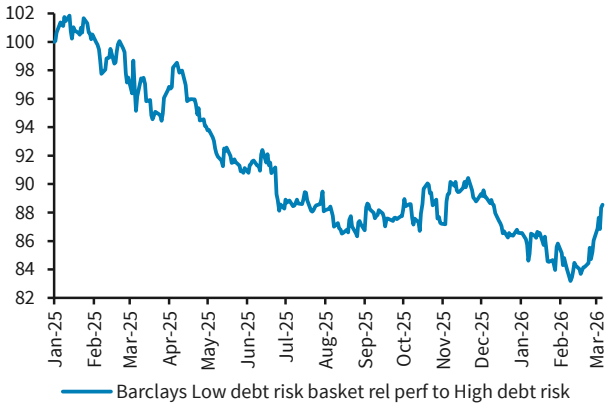
Private credit risk has been a rising concern for the market. News flow on the subject has been increasing over the past weeks, driving credit scare to widen credit spreads. Even though we speak about lower exposure for European financials (Limited direct exposure to Middle East; still positive on banks, 4 Mar), contagion risk is to be considered. And investors seem to position according to that risk, with low debt risk stocks outperforming high debt risk over the past two weeks.

FIGURE 41. Growing private credit scare drove spreads wider



Source: Bloomberg, LSEG Data & Analytics, Barclays Research

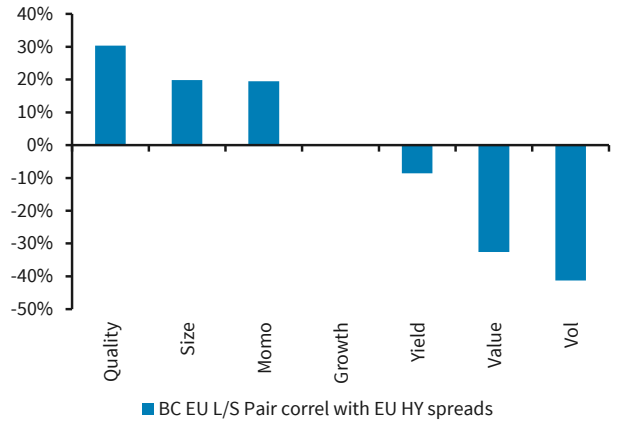
FIGURE 42. High debt quality has been outperforming low debt quality



Source: Bloomberg, Barclays Research

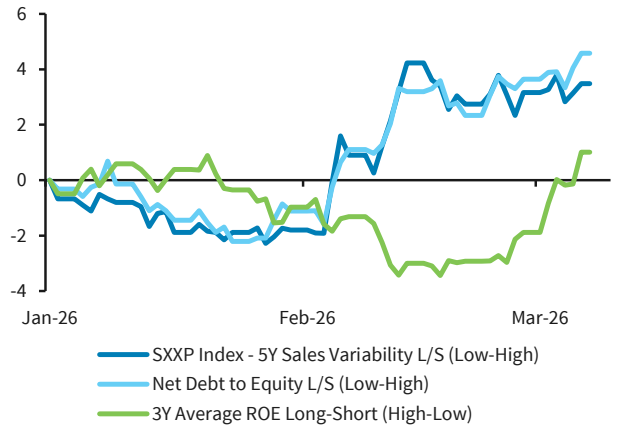
Quality should benefit from rising credit risk. Historically, High Quality names have tended to outperform among factors just behind Low Vol. Deconstructing the Quality performance, we note that investors favoured Low Leverage companies, but also stable revenues while the profitability factor has seen less rise in interest recently.

FIGURE 43. Barclays EU factor pair correlation with EU HY spreads



Since Jan 2001, using 1-week change, Pair Vol = Long High Vol/Short Low Vol, Pair Size = Long Large Caps/Short Small Caps
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 44. Low leverage and revenue stability have been the two favoured Quality features since early Feb

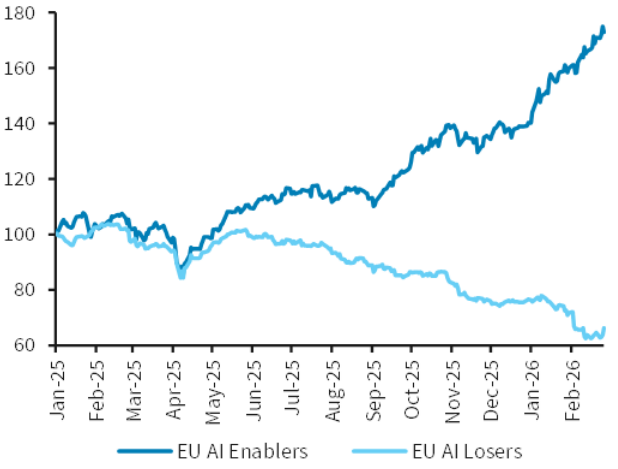


Source: Bloomberg, LSEG Data & Analytics, Barclays Research

3) AI Winners vs Losers

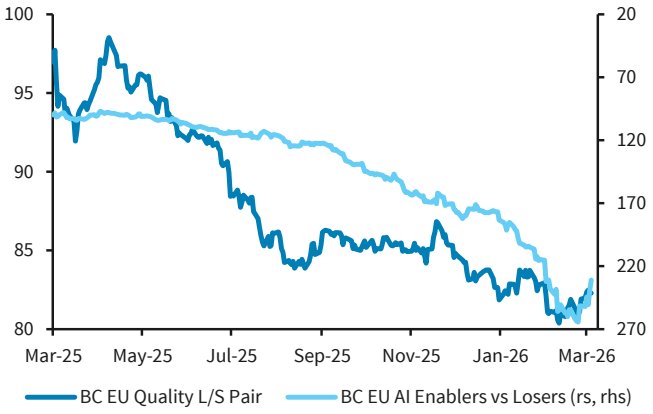
AI disruption fears have created extreme dispersion between perceived winners and losers, with strong relative performance reinforcing momentum and amplifying pressure on laggards (Shaky Momentum, steady Europe, 27 Feb). This feels hard to stop, but indiscriminate re/de-rating likely brings medium-term opportunities. Notably, High Quality has been an unintended casualty due to its overlap with AI "losers", though early signs of selective bottom-fishing in these names could support a recovery in the factor.

FIGURE 45. The performance gap between EU AI Enablers and AI Losers keeps widening, at 99% over the past 12m and 37% ytd



Past performance is not indicative of future results.
Source: Bloomberg, Barclays Research

FIGURE 46. High Quality has been exposed to AI Losers sell-off



Source: Bloomberg, Barclays Research

European Factors Landscape

Factors allocation

FIGURE 47. Current Europe factor recommendations and rationale

Factor	Description	Recomm.	Rationale
Quality	High Quality	Positive	Still the steady defensive sleeve. Under-owned with improving EPS momentum and holding up better as defensives re-engage. Technicals remain soft, but its resilience in slower-growth patches keeps it a core diversifier rather than a short.
Size	Small	Positive	Signals have softened, yet valuations remain reasonable - and Small Caps still provide valuable upside optionality if the tape turns risk-on.
Momentum	High Px Mom	Neutral	YTD leader but now fading MTD, US-Iran is key risk. Weak EPS momentum, stretched technicals and high crowding. Low dispersion and tight correlations keep unwind risk elevated.
Growth	High Growth	Neutral	Earnings support is fading, but light positioning and improving sentiment provide a buffer. Still, the renewed rates repricing adds downside risk given the factor's long-duration profile.
Value	Cheap	Neutral	Value is losing some momentum as the pro-risk backdrop becomes less supportive. MTD follow-through has stalled, crowding remains elevated, and EPS trends to the downside.
Volatility	Low Vol	Negative	MTD bounce reflects risk-off flows, leaving room for a sharp reversal if markets turn. Upside is capped after the recent re-rating, keeping the factor underweight.

Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Factor performance across macro/market regimes

Macro momentum is still firm but inflation and rising vol are biting, creating a rare set-up where Defensives – Low Vol, Quality – and Momentum both work; our model keeps a mild cyclical bias while staying selective – long Momentum and Value, short Growth, and rotating selectively toward Value and Quality.

FIGURE 48. Barc EU Factors - 4-week forward relative return by Global CESI regime

Barc EU Factors - 4w forward relative return by Global CESI regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	1.2%	0.2%	0.2%	0.0%	0.2%	0.0%	0.2%	-0.2%
High	**Increase**	**Slow**	**0.5%**	**0.1%**	**0.3%**	**0.1%**	**0.3%**	**0.1%**	**0.4%**	**0.0%**
High	Decrease	Fast	0.4%	0.4%	0.4%	0.1%	0.2%	0.4%	0.5%	0.1%
High	Decrease	Slow	0.2%	0.5%	0.7%	0.1%	0.4%	0.0%	0.4%	0.0%
Low	Increase	Fast	0.4%	-0.3%	0.2%	0.2%	0.0%	0.0%	-0.2%	0.1%
Low	Increase	Slow	0.8%	-0.1%	-0.4%	0.8%	-0.4%	0.5%	0.0%	0.6%
Low	Decrease	Fast	0.4%	-0.3%	0.2%	0.4%	0.1%	0.2%	0.0%	0.0%
Low	Decrease	Slow	-0.8%	0.5%	0.3%	-0.3%	0.4%	-0.1%	-0.1%	0.5%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change
Source: Bloomberg, Barclays Research

FIGURE 49. Barc EU Factors - 4-week forward relative return by Global Inflation Surprise regime

Barc EU Factors - 4w forward relative return by Global Inflation Surprise regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	**Increase**	**Fast**	**-0.5%**	**0.6%**	**0.4%**	**-0.3%**	**0.5%**	**0.1%**	**0.3%**	**0.5%**
High	Increase	Slow	0.9%	-0.1%	0.1%	0.0%	0.1%	0.1%	0.0%	-0.3%
High	Decrease	Fast	-0.4%	-0.6%	0.1%	0.2%	-0.3%	0.0%	-0.3%	1.1%
High	Decrease	Slow	0.5%	0.0%	0.7%	0.9%	0.4%	0.6%	0.4%	0.1%
Low	Increase	Fast	0.4%	0.0%	-0.1%	-0.2%	0.0%	-0.1%	-0.2%	-0.1%
Low	Increase	Slow	0.6%	0.5%	0.8%	0.1%	0.4%	0.0%	0.5%	0.2%
Low	Decrease	Fast	1.1%	-0.1%	0.0%	-0.1%	0.0%	-0.1%	-0.2%	-0.2%
Low	Decrease	Slow	0.0%	0.3%	0.4%	0.2%	0.3%	0.0%	0.2%	0.2%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change
Source: Bloomberg, Barclays Research

FIGURE 50. Barc EU Factors - 4-week forward relative return by VIX regime

Barc EU Factors - 4w forward relative return by VIX regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	**Increase**	**Fast**	**0.6%**	**0.4%**	**0.5%**	**0.3%**	**0.3%**	**0.2%**	**0.4%**	**-0.1%**
High	Increase	Slow	-0.8%	0.6%	0.5%	-0.7%	0.6%	-0.2%	-0.1%	0.5%
High	Decrease	Fast	1.5%	-0.8%	0.0%	0.3%	-0.4%	0.3%	0.4%	-0.5%
High	Decrease	Slow	0.0%	-0.1%	0.2%	0.4%	-0.1%	0.3%	0.3%	-0.2%
Low	Increase	Fast	0.2%	0.2%	0.1%	0.0%	0.4%	0.0%	0.1%	0.4%
Low	Increase	Slow	0.4%	0.1%	0.2%	-0.1%	0.4%	-0.3%	0.0%	0.2%
Low	Decrease	Fast	0.3%	0.0%	0.1%	0.1%	0.2%	0.2%	0.1%	0.1%
Low	Decrease	Slow	0.2%	0.1%	0.2%	-0.1%	0.1%	0.0%	-0.1%	0.3%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

Source: Bloomberg, Barclays Research

FIGURE 51. Barc EU Factors - 4-week forward relative return by MOVE regime

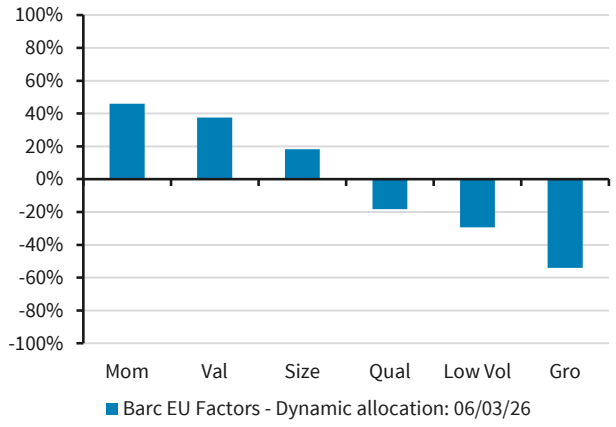
Barc EU Factors - 4w forward relative return by MOVE regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	0.5%	0.1%	0.5%	0.2%	0.2%	0.1%	0.3%	-0.3%
High	Increase	Slow	0.8%	-0.1%	0.3%	-0.3%	0.2%	-0.1%	-0.2%	0.0%
High	Decrease	Fast	-1.3%	-0.1%	0.5%	0.1%	0.1%	0.0%	0.5%	0.5%
High	Decrease	Slow	0.2%	0.1%	0.4%	0.4%	0.0%	0.0%	-0.1%	-0.1%
Low	**Increase**	**Fast**	**1.2%**	**0.2%**	**0.0%**	**0.6%**	**-0.2%**	**0.3%**	**0.2%**	**0.0%**
Low	Increase	Slow	0.5%	0.6%	0.2%	0.4%	0.3%	0.2%	0.4%	-0.2%
Low	Decrease	Fast	-0.8%	0.1%	0.1%	-0.5%	0.5%	0.0%	-0.1%	0.5%
Low	Decrease	Slow	0.1%	0.3%	0.2%	-0.4%	0.4%	0.0%	0.1%	0.5%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

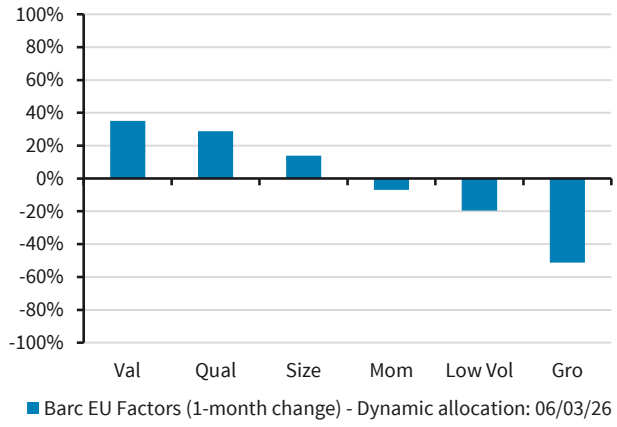
Source: Bloomberg, Barclays Research

FIGURE 52. Our dynamic allocation model favours Momentum and Value over the next four weeks



Source: Bloomberg, Barclays Research

FIGURE 53. The model adds to Value, Quality and Size; cutting Growth, Low Vol and Momentum

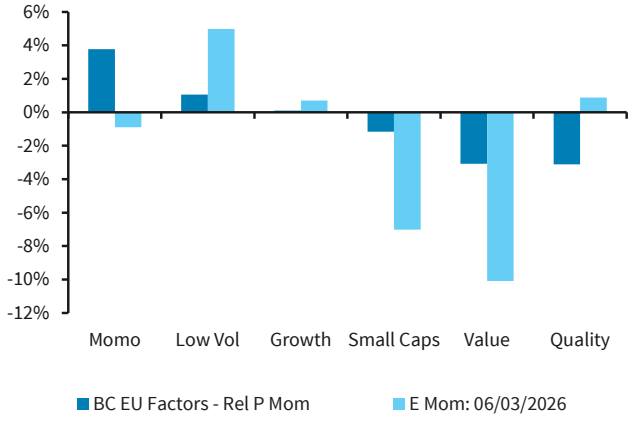


Source: Bloomberg, Barclays Research

Price and earnings momentum

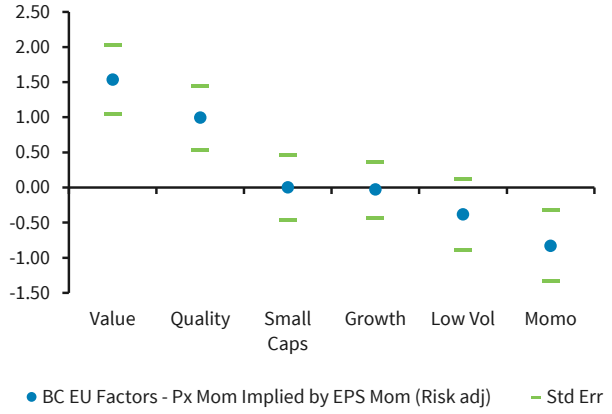
Stretched Momo with no EPS backing still screens as the weakest earnings-implied return, leaving the unwind incomplete, while Low Vol earnings support looks priced; we see cleaner upside in Value post sell-off reset and Quality improving EPS profile.

FIGURE 54. Momo 3-month run has been all price, no earnings; Low Vol gains was earnings-backed



Source: Bloomberg, Barclays Research

FIGURE 55. Value and Quality are showing the best return implied by earnings momentum

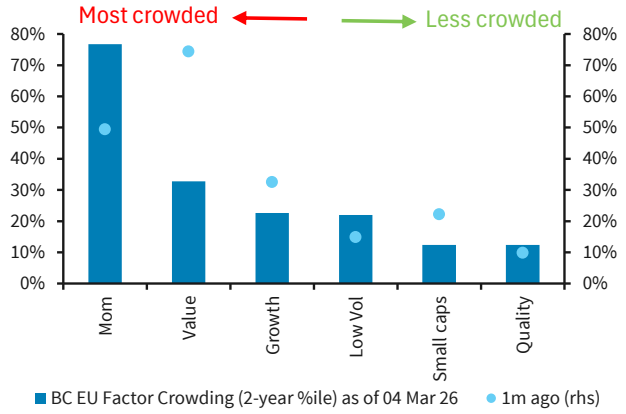


Source: Bloomberg, Barclays Research

Positioning

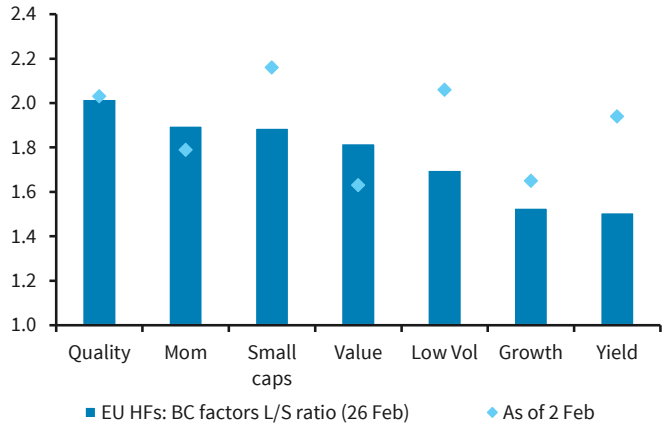
Momentum unwind reflects stretched positioning rather than stress; Value softened alongside, while Low Vol and Quality steadied without a flight-to-safety bid.

FIGURE 56. Momentum crowding rising as Value and Growth ease, with flows rotating into Low Vol and Quality



Source: MSCI, Barclays Research

FIGURE 57. European HFs remain tilted toward Quality and Momentum



Source: Hazeltree, Barclays Research

Technicals

Seasonals push defensives now (Low Vol/Quality) and cyclicals (Value/Small Caps) in April, but high dispersion and rewiring correlations (Low Vol decoupling, Quality-Growth overlap) imply this rotation phase might be abrupt.

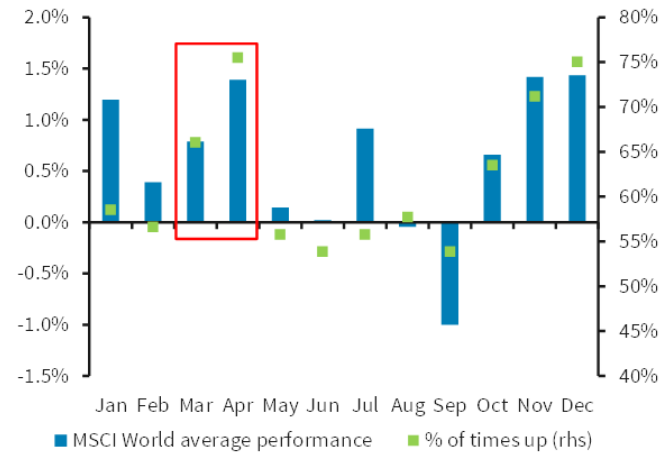
FIGURE 58. Defensive Low Vol and Quality tend to do well in March

Europe factor seasonality - rel. monthly return

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Low Vol	-0.3%	0.7%	0.9%	-0.8%	0.5%	0.5%	-0.4%	0.8%	0.9%	-0.6%	-0.4%	0.2%
Quality	-0.5%	0.8%	0.5%	-0.1%	0.7%	0.4%	-0.1%	0.9%	0.2%	-0.6%	0.2%	0.6%
Growth	0.5%	0.8%	0.4%	-0.3%	0.6%	-0.3%	0.3%	1.0%	-0.3%	-0.3%	0.4%	0.8%
Yield	0.2%	0.5%	0.3%	0.3%	-0.1%	-0.2%	-0.1%	0.8%	0.3%	-0.2%	0.3%	0.6%
Size	0.2%	1.0%	0.2%	0.5%	0.1%	-0.3%	0.2%	0.6%	-0.1%	-0.7%	0.5%	0.8%
Value	0.7%	1.2%	0.2%	0.8%	-0.3%	-0.5%	0.0%	0.6%	-0.2%	0.3%	0.4%	0.7%
Momo	-0.2%	1.1%	0.2%	-0.8%	0.6%	0.7%	0.0%	0.3%	0.5%	-0.3%	-0.1%	0.5%

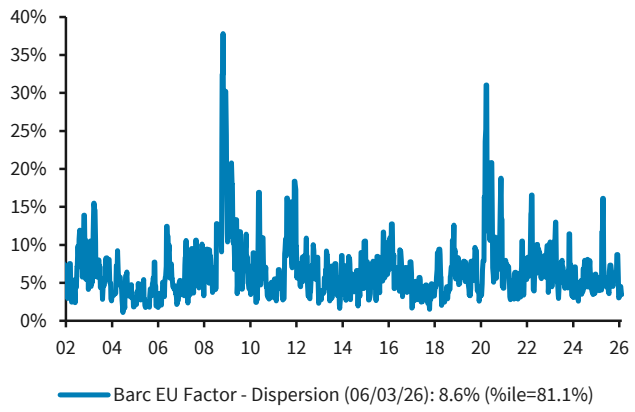
Source: Bloomberg, Barclays Research

FIGURE 59. Mar-Apr seasonality is strongly positive



Source: Bloomberg, Barclays Research

FIGURE 60. Barclays Europe factors dispersion is high



Source: Bloomberg, Barclays Research

FIGURE 61. Barclays EU factors 3-month correlation

Barc EU Factors - 3-month correlation

	Value	Growth	Quality	Mom	Low Vol	Size
Value		72%	72%	73%	81%	88%
Growth	72%		95%	85%	60%	87%
Quality	72%	95%		78%	67%	88%
Mom	73%	85%	78%		50%	74%
Low Vol	81%	60%	67%	50%		73%
Size	88%	87%	88%	74%	73%	

Source: Bloomberg, Barclays Research

FIGURE 62. Barclays EU factors constituents overlap

Barc EU Factors - Constituents overlap

	Value	Growth	Quality	Mom	Low Vol
Value		3%	4%	13%	3%
Growth	3%		24%	14%	1%
Quality	4%	23%		8%	13%
Mom	16%	14%	8%		6%
Low Vol	4%	1%	16%	6%	

Source: Bloomberg, Barclays Research

FIGURE 63. Barclays EU factors and thematics baskets constituents overlap

Barc EU Factors - Constituents overlap

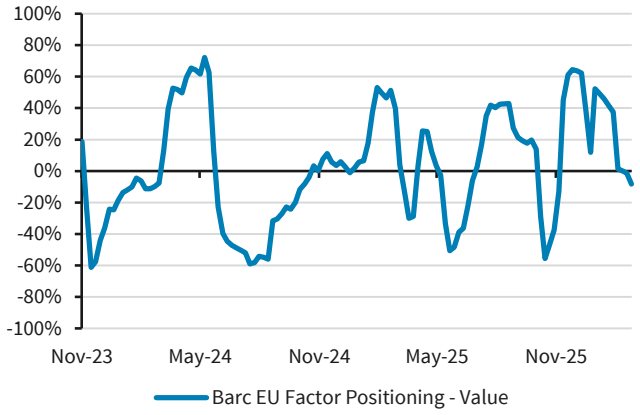
	US tariff-exposed	EU exporters	EU Domestics	Ukraine ceasefire	Germany revival	EM exposure	EU AI Enablers	EU AI Losers	Short cycle
Value	4%	5%	5%	3%	8%	1%	0%	4%	5%
Growth	1%	5%	2%	2%	7%	6%	3%	2%	3%
Quality	3%	6%	1%	1%	2%	9%	1%	6%	3%
Mom	2%	4%	6%	2%	5%	4%	10%	0%	4%
Low Vol	1%	6%	0%	0%	4%	3%	1%	3%	3%
Size	1%	0%	0%	1%	1%	1%	0%	3%	0%

Source: Bloomberg, Barclays Research

European Factor Legs

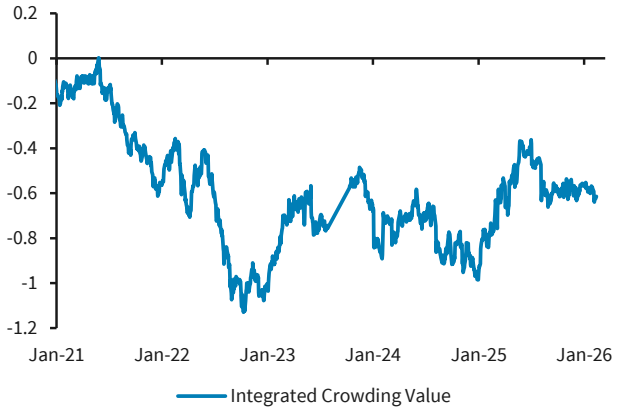
Barclays EU Value

FIGURE 64. Barclays EU Value - Dynamic allocation



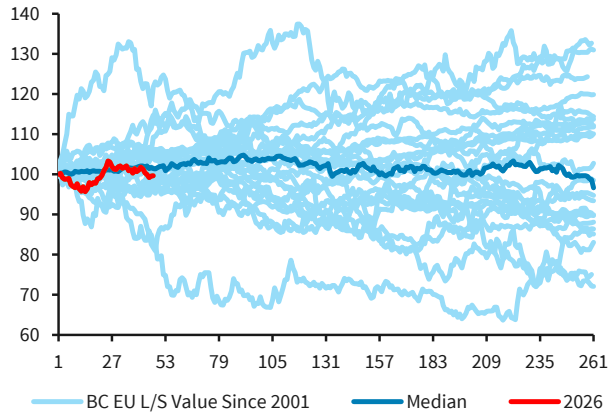
Source: Barclays Research

FIGURE 65. Barclays EU Value - Crowding



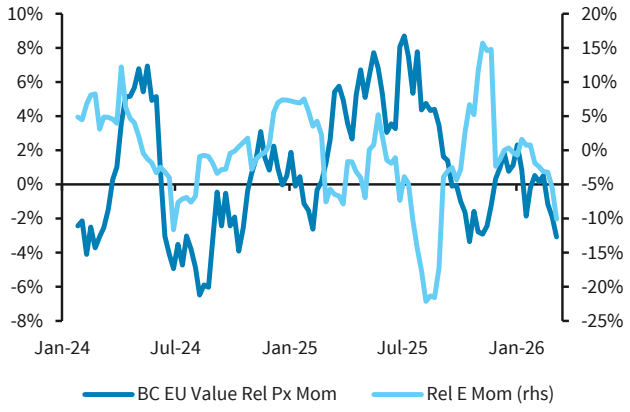
Source: MSCI, Barclays Research

FIGURE 66. Barclays EU Value - Performance vs past



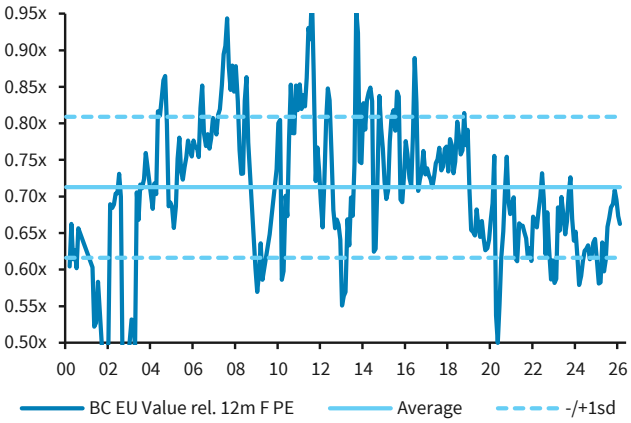
Source: Bloomberg, Barclays Research

FIGURE 67. Barclays EU Value - Relative price momentum vs earnings momentum



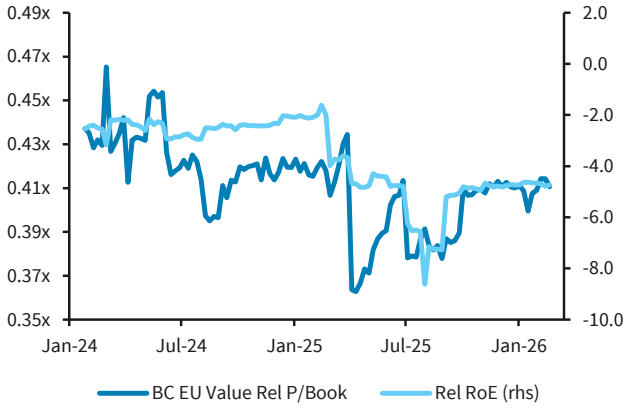
Source: Bloomberg, Barclays Research

FIGURE 68. Barclays EU Value - Relative 12m F PE



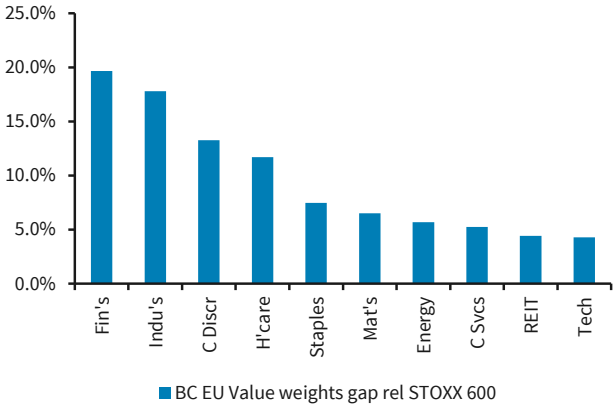
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 69. Barclays EU Value - Relative P/Book vs RoE



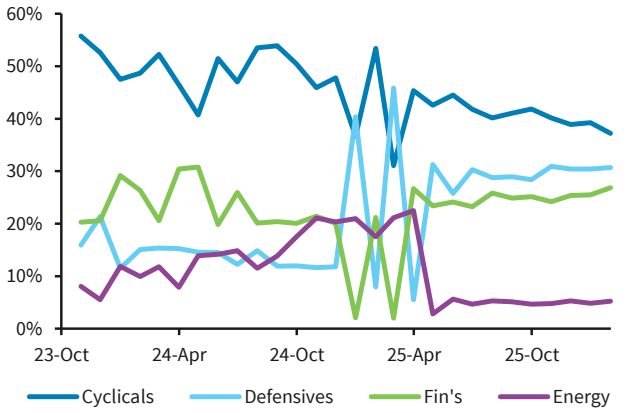
Source: Bloomberg, Barclays Research

FIGURE 70. Barclays EU Value - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

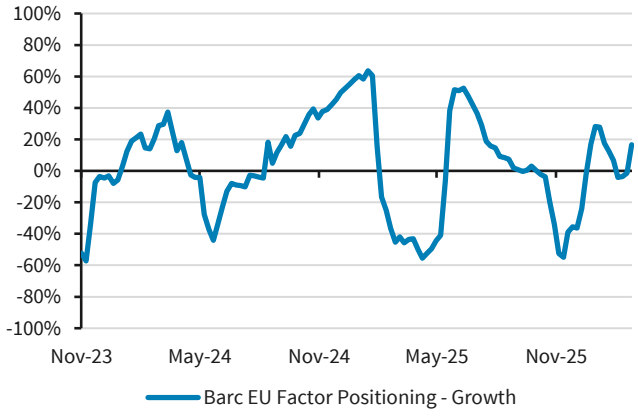
FIGURE 71. Barclays EU Value - Sector allocation



Source: Bloomberg, Barclays Research

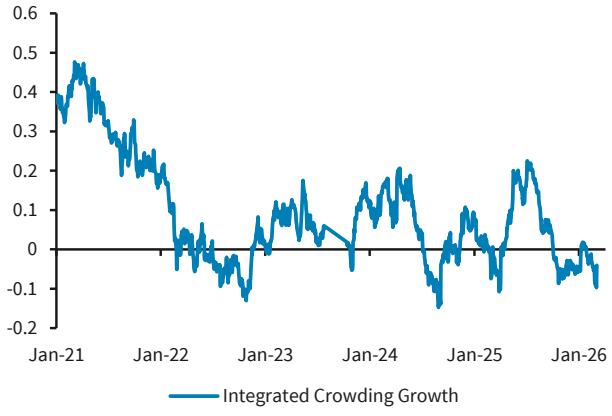
Barclays EU Growth

FIGURE 72. Barclays EU Growth - Dynamic allocation



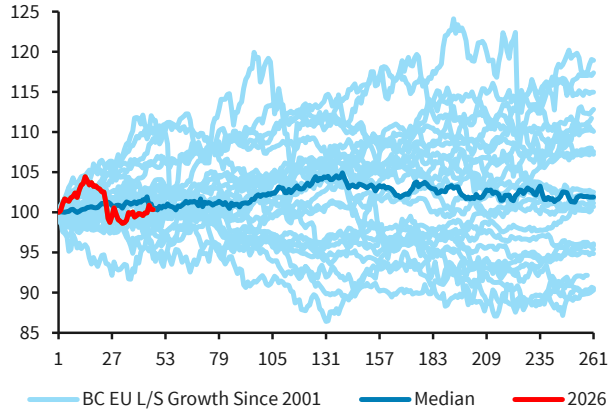
Source: Barclays Research

FIGURE 73. Barclays EU Growth – Crowding



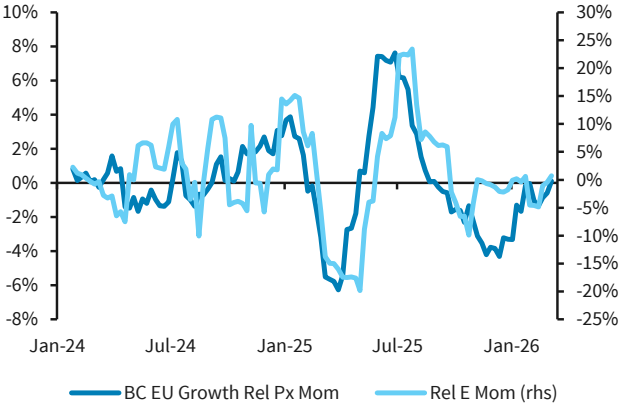
Source: MSCI, Barclays Research

FIGURE 74. Barclays EU Growth - Performance vs past



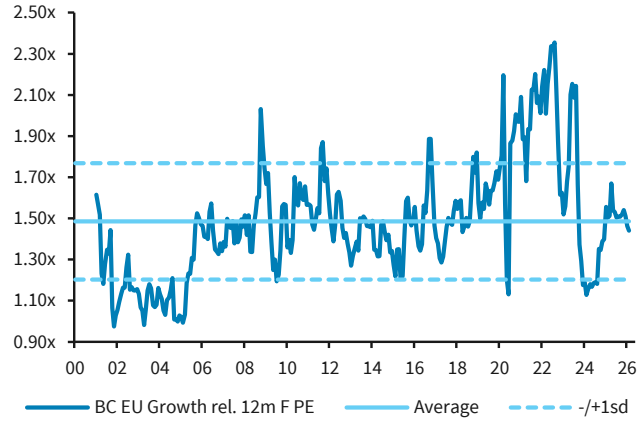
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 75. Barclays EU Growth - Relative price momentum vs earnings momentum



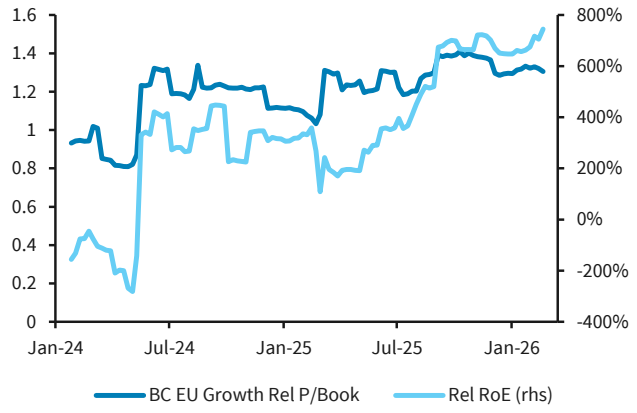
Source: Bloomberg, Barclays Research

FIGURE 76. Barclays EU Growth - Relative 12m F PE



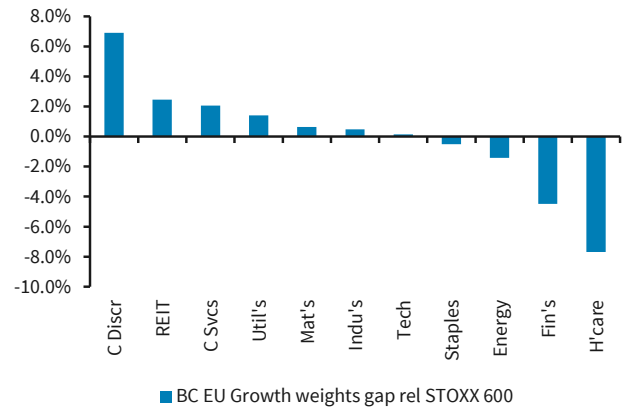
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 77. Barclays EU Growth - Relative P/Book vs RoE



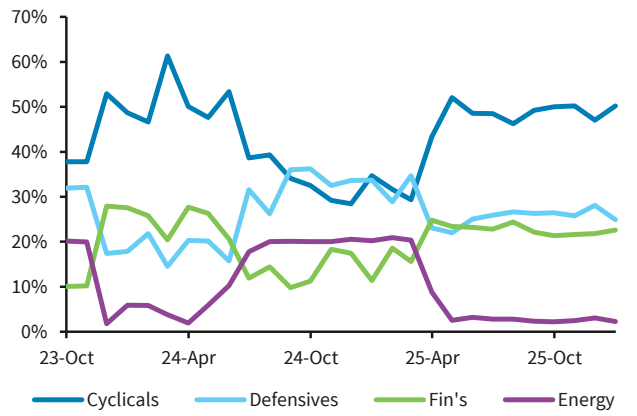
Source: Bloomberg, Barclays Research

FIGURE 78. Barclays EU Growth - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

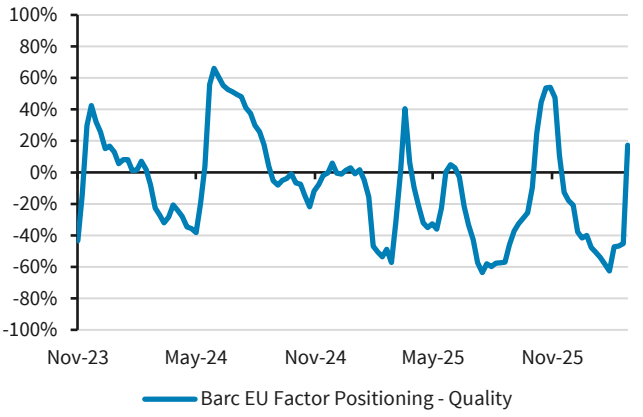
FIGURE 79. Barclays EU Growth - Sector allocation



Source: Bloomberg, Barclays Research

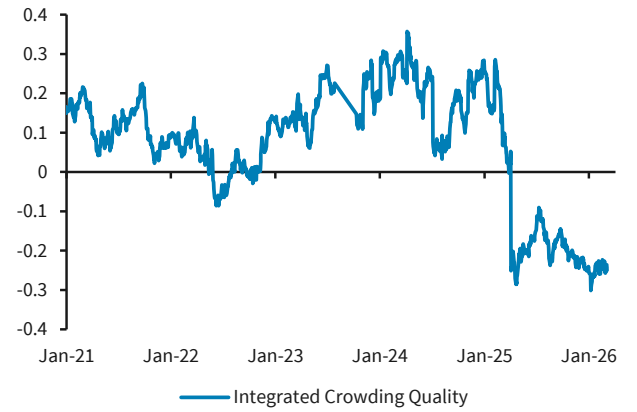
Barclays EU Quality

FIGURE 80. Barclays EU Quality - Dynamic allocation



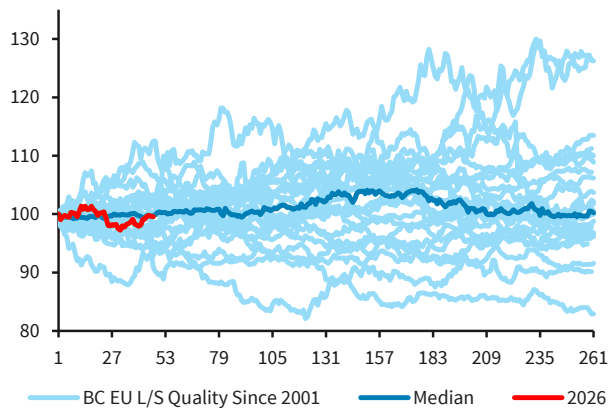
Source: Barclays Research

FIGURE 81. Barclays EU Quality – Crowding



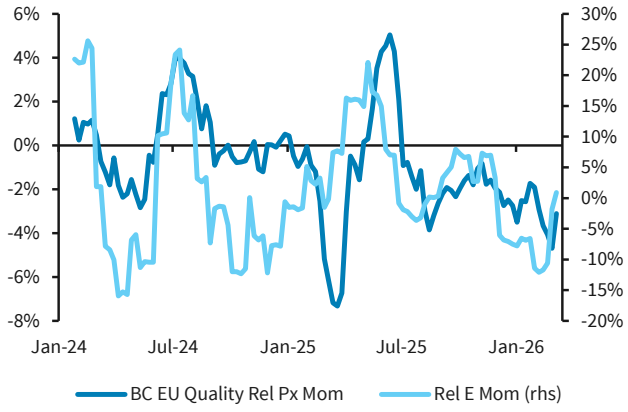
Source: MSCI, Barclays Research

FIGURE 82. Barclays EU Quality - Performance vs past



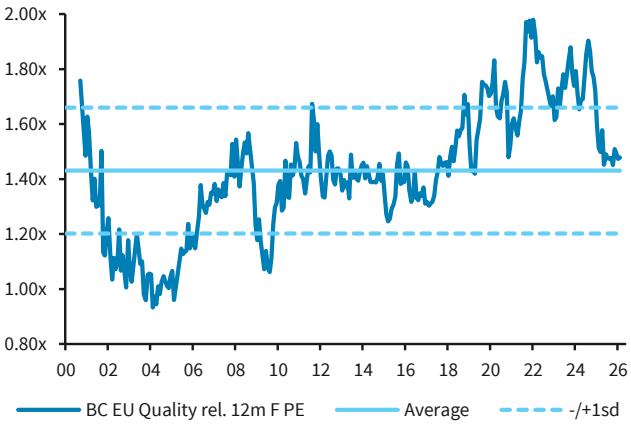
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 83. Barclays EU Quality - Relative price momentum vs earnings momentum



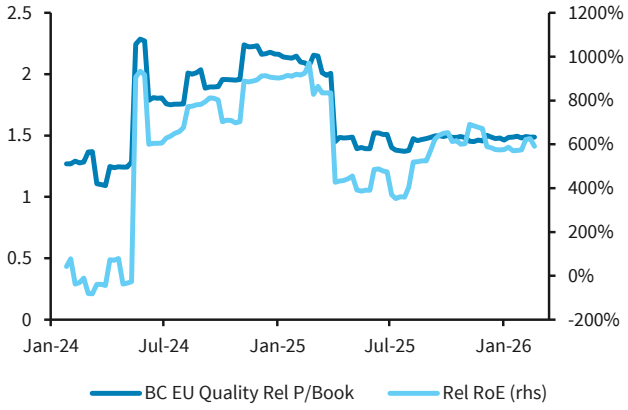
Source: Bloomberg, Barclays Research

FIGURE 84. Barclays EU Quality - Relative 12m F PE



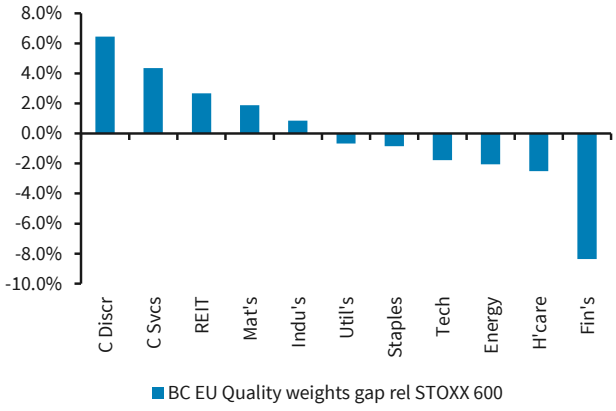
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 85. Barclays EU Quality - Relative P/Book vs RoE



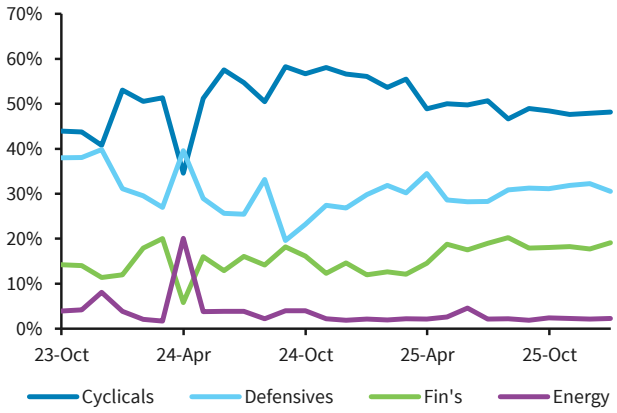
Source: Bloomberg, Barclays Research

FIGURE 86. Barclays EU Quality - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

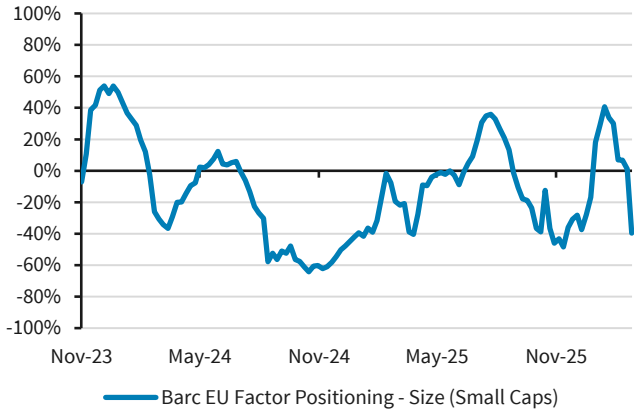
FIGURE 87. Barclays EU Quality - Sector allocation



Source: Bloomberg, Barclays Research

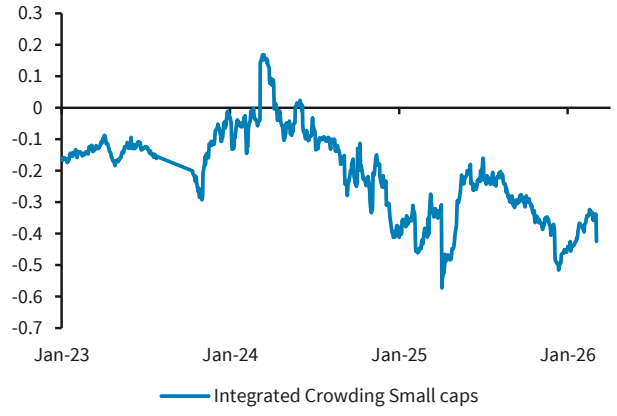
Barclays EU Size (Small Caps)

FIGURE 88. Barclays EU Small Caps- Dynamic allocation



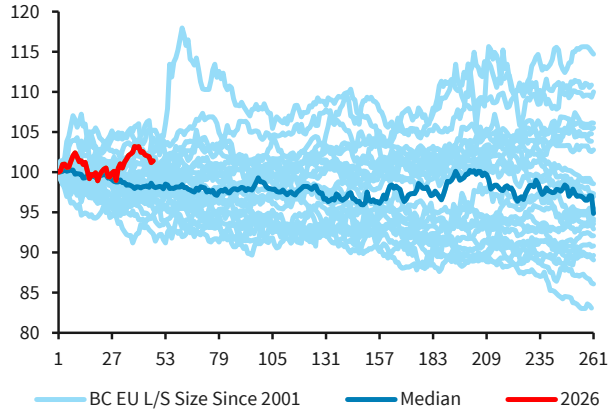
Source: Barclays Research

FIGURE 89. Barclays EU Small Caps – Crowding



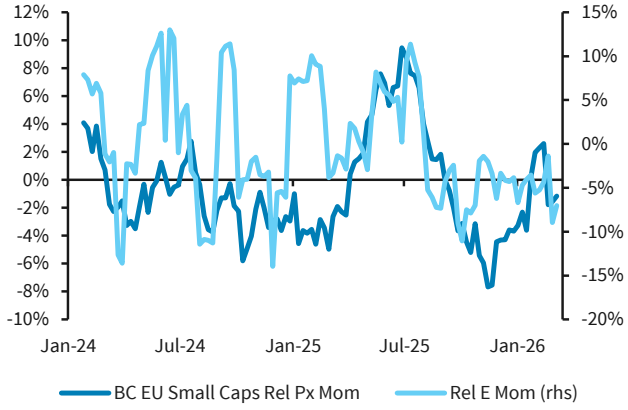
Source: MSCI, Barclays Research

FIGURE 90. Barclays EU Size - Performance vs past



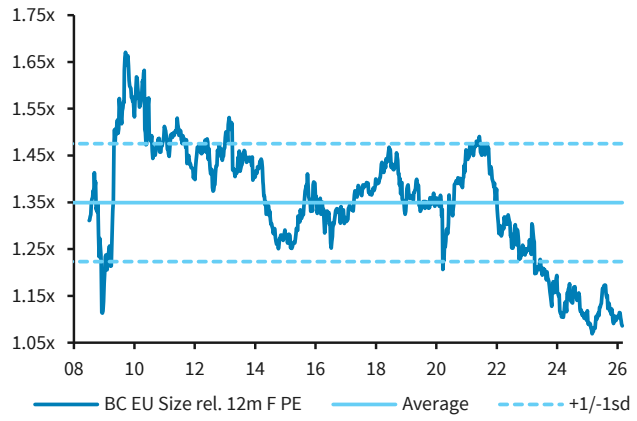
Size = Long Large Caps/Short Small Caps
Source: Bloomberg, Barclays Research

FIGURE 91. Barclays EU Small Caps - Relative price momentum vs earnings momentum



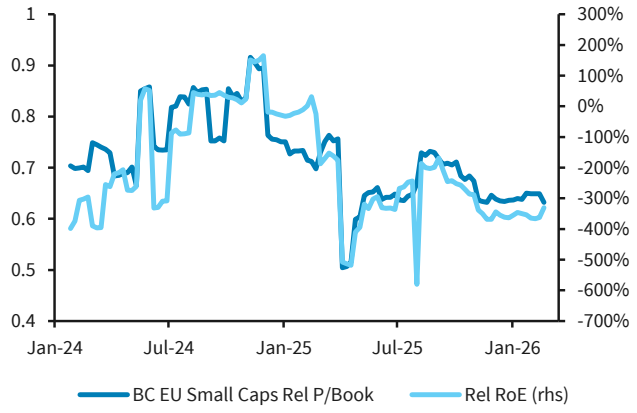
Source: Bloomberg, Barclays Research

FIGURE 92. Barclays EU Small Caps - Relative 12m F PE



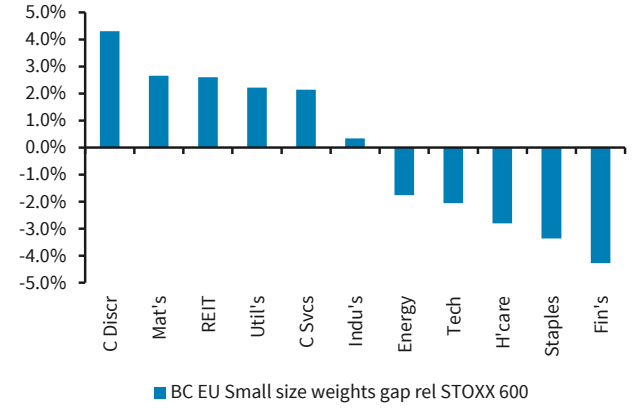
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 93. Barclays EU Small Caps - Relative P/Book vs RoE



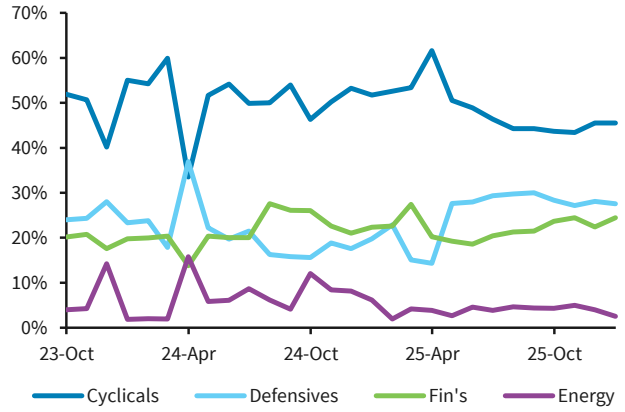
Source: Bloomberg, Barclays Research

FIGURE 94. Barclays EU Small Caps - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

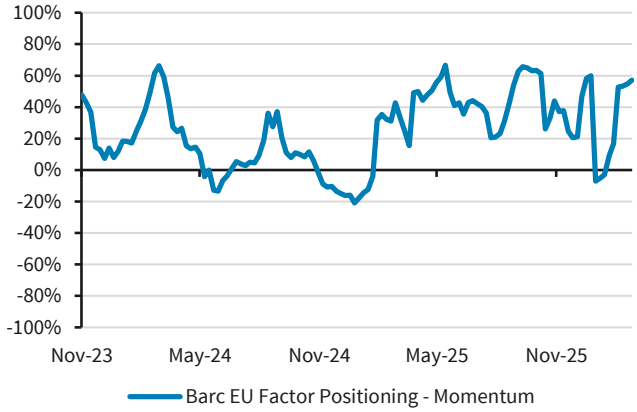
FIGURE 95. Barclays EU Small Caps - Sector allocation



Source: Bloomberg, Barclays Research

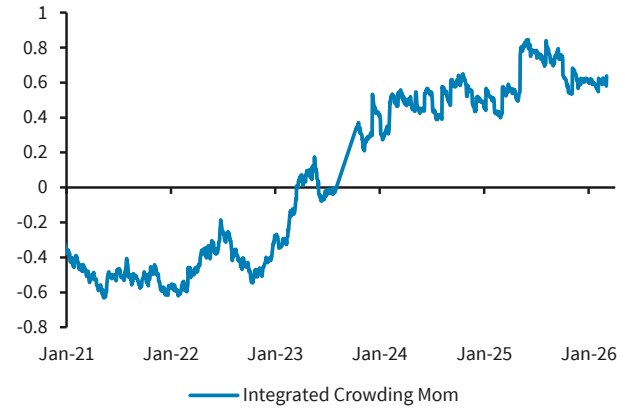
Barclays EU Momentum

FIGURE 96. Barclays EU Momentum - Dynamic allocation



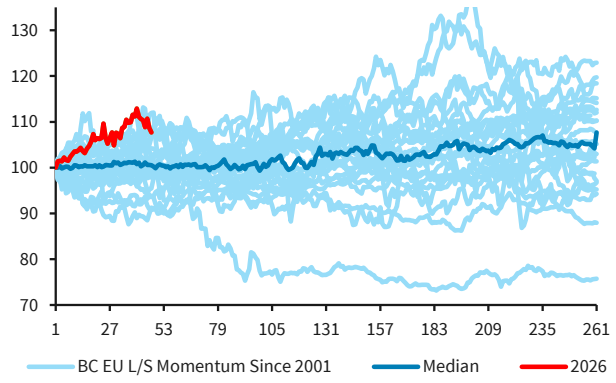
Source: Barclays Research

FIGURE 97. Barclays EU Momentum – Crowding



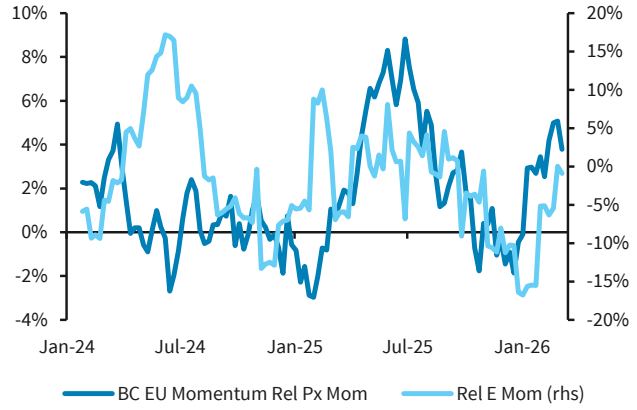
Source: MSCI, Barclays Research

FIGURE 98. Barclays EU Momentum - Performance vs past



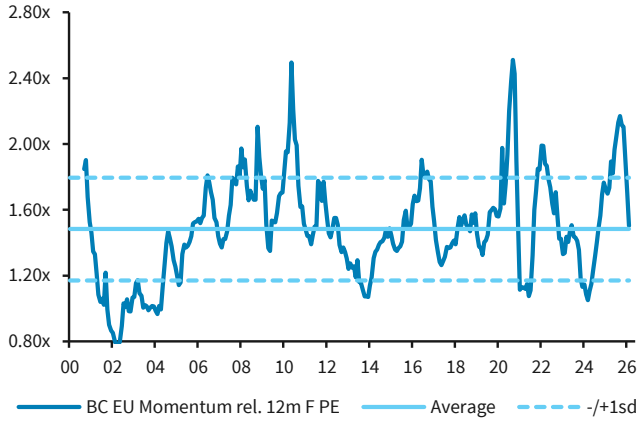
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 99. Barclays EU Momentum - Relative price momentum vs earnings momentum



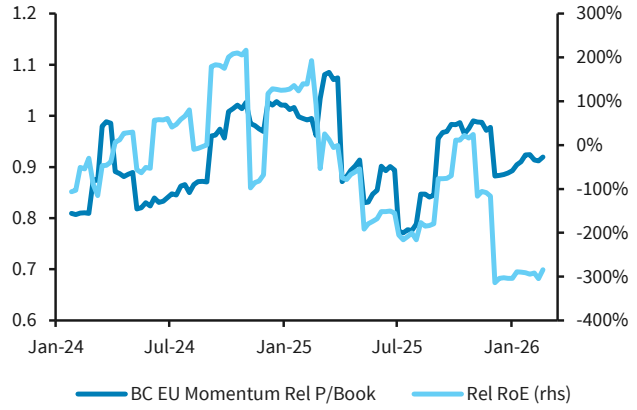
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 100. Barclays EU Momentum - Relative 12m F PE



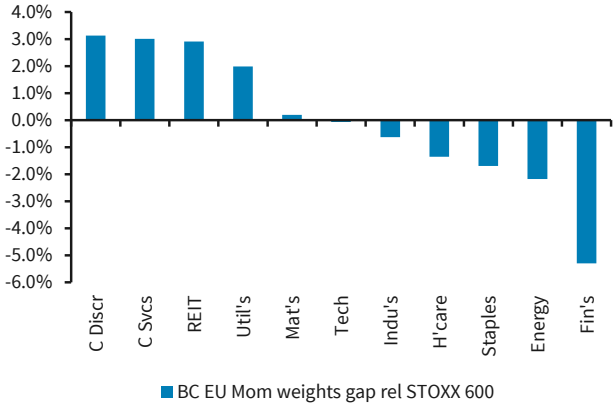
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 101. Barclays EU Momentum - Relative P/Book vs RoE



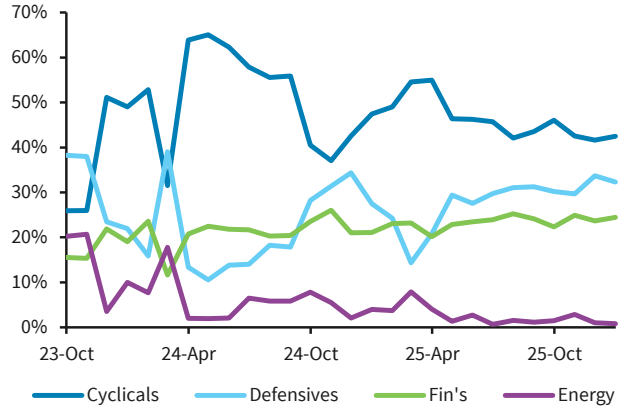
Source: Bloomberg, Barclays Research

FIGURE 102. Barclays EU Momentum - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

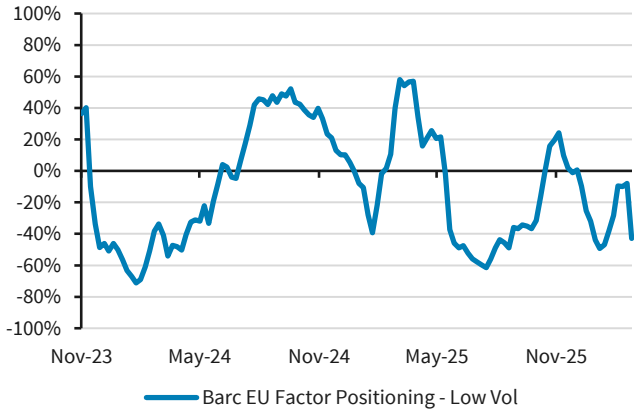
FIGURE 103. Barclays EU Momentum - Sector allocation



Source: Bloomberg, Barclays Research

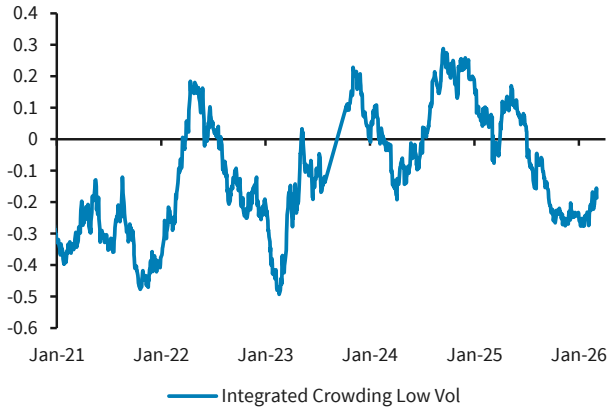
Barclays EU Low Volatility

FIGURE 104. Barclays EU Low Vol - Dynamic allocation



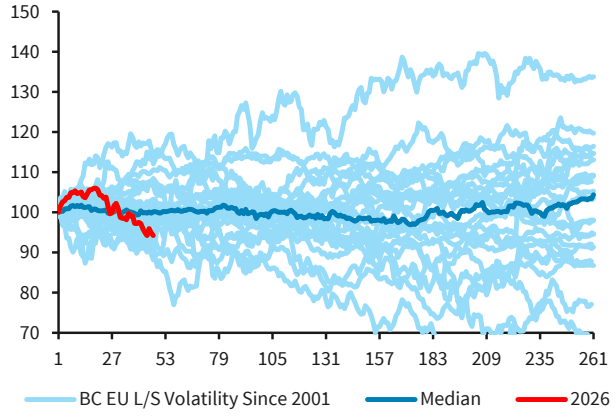
Source: Barclays Research

FIGURE 105. Barclays EU Low Vol – Crowding



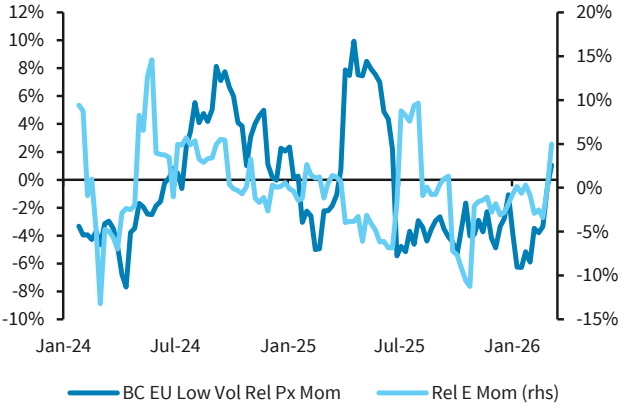
Source: MSCI, Barclays Research

FIGURE 106. Barclays EU Low Vol - Performance vs past



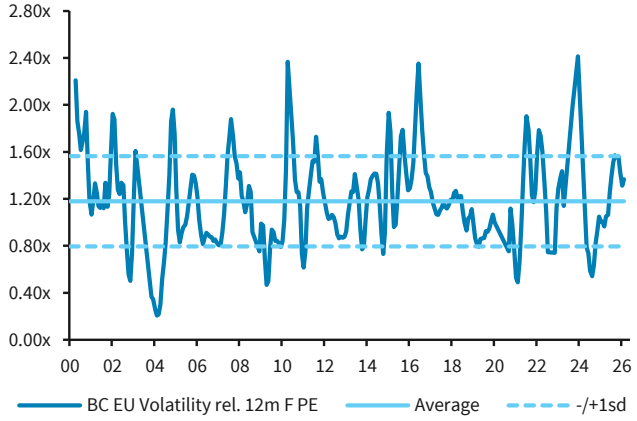
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 107. Barclays EU Low Vol - Relative price momentum vs earnings momentum



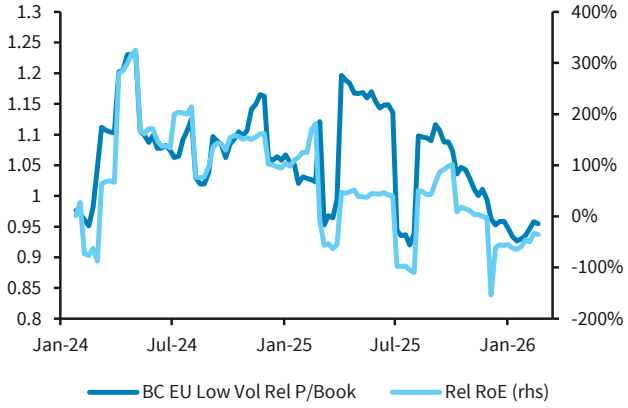
Source: Bloomberg, Barclays Research

FIGURE 108. Barclays EU Low Vol - Relative 12m F PE



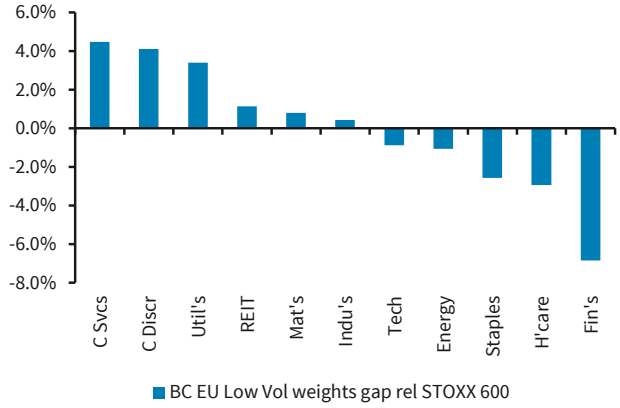
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 109. Barclays EU Low Vol - Relative P/Book vs RoE



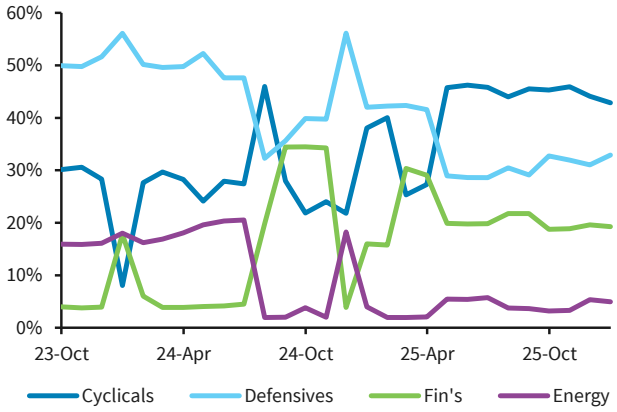
Source: Bloomberg, Barclays Research

FIGURE 110. Barclays EU Low Vol - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

FIGURE 111. Barclays EU Low Vol - Sector allocation



Source: Bloomberg, Barclays Research

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"Rest of Tech" is GICS Level 1 Information Technology with AAPL, MSFT, and NVDA excluded.

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